1

Global Poverty: Stalled Progress and Rising Concentration

Summary

- *The global extreme poverty rate fell steadily for three decades, from 43 percent in 1990 to 11 percent in 2020. This was an incredible accomplishment. However, progress has since come to a standstill. The extreme poverty rate has remained essentially unchanged after an increase during the COVID pandemic and the subsequent recovery. In 2026, 811 million people—1 in 10 globally—were living in extreme poverty, defined as living on less than $3.00-a-person-a-day in 2021 purchasing power parity (PPP) terms.*
- *Extreme poverty is increasingly concentrated. More than half the extreme poor globally are living in only nine economies, and three-quarters in 20 economies. Of the nine economies, six are in Sub-Saharan Africa, where the extreme poverty rate has remained near 44 percent since 2014. Only in 2026 did poverty rates in Sub-Saharan Africa return to prepandemic levels, while this is still not the case in the Middle East, North Africa, Afghanistan, and Pakistan (MENAAP) region.*
- *Fragility is the defining feature of global poverty. The share of the extreme poor living in a fragile and conflict-affected situation (FCS) rose from 12 percent in 2010 to 57 percent in 2026, as more high-poverty economies became fragile and because extreme poverty fell more quickly in non-FCS economies. By 2030, 87 percent of the extreme poor globally will be living in Sub-Saharan Africa or in an FCS economy or both.*
- *If the per capita economic growth rates observed over 2015–24 persist, the global extreme poverty rate and the number of people living in extreme poverty will increase by 2030: an unprecedented reversal of the decades-long decline. Population growth in high-poverty economies is a key factor in the potential increase.*

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- *People living in poor households are disproportionately young, rural, and less educated. Eighteen percent of children under the age of 18 are living in extreme poverty, compared with 6 percent among adults, and individuals with no formal education have a poverty rate of 22 percent. Extreme poverty rates in rural areas are more than three times higher than urban rates. Although extreme poverty declined across most demographic groups between 2013 and 2023, progress was slowest among households caring for children in which none or only one working-age adult was working.*
- *Subnational data reveal that poverty is concentrated not only in specific economies, but in specific regions within these economies. Poverty has been stagnating or rising in many regions within economies in Sub-Saharan Africa and MENAAP over the past decade.*
- *Broadening measurement beyond absolute monetary thresholds—to relative poverty lines and to multidimensional deprivation—reinforces the existence of these patterns: Across 103 economies, 17 percent of people were multidimensionally poor in 2023, compared with 11 percent based on the $3.00-a-person-a-day line. The largest differences are across poverty measures in South Asia and Sub-Saharan Africa.*

Gains in global poverty reduction could be reversed in coming decades

Following the decades during which global extreme poverty fell at historic rates, the decline has come to a dramatic stop.[1] Extreme poverty is increasingly concentrated in economies in Sub-Saharan Africa and in economies experiencing fragility, conflict, and violence. In these economies, poverty rates have generally stagnated or risen. Population growth in these economies, combined with rates of poverty reduction that are insufficient to sustain the progress achieved during the preceding years, means that the number of people living in extreme poverty globally is projected to increase in coming decades.

After decades of progress, the reduction in extreme poverty has ground to a halt

After decades of significant and steady progress, the reduction of global poverty has reached a critical juncture. In 1990, nearly 2.3 billion people—43 percent of the global population—were living in extreme poverty, defined as living on less than $3.00-a-person-a-day (in 2021 PPP terms) (refer to box 1.1). By 2019, the number had fallen dramatically, to 837 million people, or 10.8 percent of the global population. But, since then, virtually no progress on reducing extreme poverty has been made. The COVID-19 pandemic triggered the largest setback in decades (Mahler et al. 2022). In 2026, 811 million people—1 in 10 globally—were living in extreme poverty, and this rate has remained essentially unchanged since 2020. Factoring in the economic growth and price impacts of the conflict in the Middle East suggests that the extreme poverty rate may be even higher (refer to box 1.2).

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BOX 1.1

Updated poverty lines carry important implications

This report relies on updated global poverty lines to incorporate the latest available data on purchasing power parities (PPPs), as compiled by the International Comparison Program. In June 2025, the base year for comparing price levels across economies was updated from 2017 to 2021 (Alfani et al. 2025). PPPs are used to convert welfare data and national poverty lines from local currency units into dollars.[a]

As part of the update, the global poverty lines were revised to reflect updated national poverty lines set by national authorities around the world. The World Bank's global poverty lines are based on the national poverty lines that are used by governments to monitor poverty within national borders. The international poverty line is the median national poverty line among low-income economies. It thus reflects the typical standard by which governments in the poorest economies define poverty at the national level. Upward revisions in national poverty lines, especially in West Africa, have stemmed from improvements in household survey methodologies that have resulted in higher measured consumption and thus also upward revisions in national poverty lines. These higher national poverty lines do not reflect a more generous standard of what it means to be poor. They reflect better data to assess the cost of basic needs for a minimum food bundle and an allowance for essential nonfood consumption.

Combined, the 2021 PPPs and the latest national poverty lines have contributed to higher global poverty lines (refer to table B1.1.1). They do not constitute a movement of the goalpost in poverty measurement. Rather, they reflect evolving standards of how the poorest countries measure consumption and evolving differences in the cost of living across countries as captured by an established methodology (World Bank 2025d).

TABLE B1.1.1

Revised global poverty lines

Economy group	Previous poverty line (2017 PPPs)	Revised poverty line (2021 PPPs)
Low-income economies	$2.15	$3.00
Lower-middle-income economies	$3.65	$4.20
Upper-middle-income economies	$6.85	$8.30

Source: Alfani et al. 2025.

Note: The economy income groups have also been updated as needed, and the sample of economies on which information is available has expanded. However, these changes have had only a small effect on the poverty data overall. PPP = purchasing power parity.

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BOX 1.1

Updated poverty lines carry important implications *(continued)*

Foster et al. (2025) show that long-run regional and global poverty trends remain consistent irrespective of which PPP series is applied. A legacy series for the previous poverty lines remains available on the World Bank's Poverty and Inequality Platform (https://pip.worldbank.org/home) for the purposes of comparison.

a. Welfare is measured by either consumption or income as available in the survey sources of an economy. Throughout the chapter welfare is used.

BOX 1.2

Tracking the impact on poverty of the conflict in the Middle East

The conflict in the Middle East and the associated increase in energy prices impacted projected economic growth in 2026. Nearly two in three countries were facing weaker growth prospects in June 2026 compared with the outlook in *Global Economic Prospects, January 2026* (World Bank 2026b, 2026c). According to the projections of *Global Economic Prospects, June 2026* (World Bank 2026c), commodity prices were expected to rise by 22 percent in 2026, while, according to earlier projections in January 2026, they had been expected to decline by 7 percent in 2026 (World Bank 2026b). The higher commodity prices led to a resurgence of inflationary pressures similar to the situation observed at the start of the Russian Federation's invasion of Ukraine, which resulted in a reduction in food production, particularly of wheat. What was different this time was that the shock has primarily affected energy prices, and these exert an impact on household budgets directly, but also indirectly through, for example, higher transport costs for food. Furthermore, there has been a significant rise in fertilizer prices, which has affected food production throughout 2026. More generally, energy intensity varies by economic sectors. So, household income can be affected differentially depending on the sector of employment.

Record maize harvests in South Africa (Crop Estimates Committee 2026) have fixed fertilizer prices in countries, such as India (PIB 2026), and the low take-up of fertilizers in Sub-Saharan Africa (FAO 2025) generally could mitigate the impact on food prices. Furthermore, the overall effect of higher food prices on extreme poverty is complicated by the fact that many of the poor are food producers and could thus benefit from higher food prices (Ivanic and Martin 2008). It is thus crucial to understand what happens to input costs. If the increase in food prices is driven by input costs (for instance, fertilizer or transport costs), there are no net benefits among food producers, who may even be less well off if there is a reduction in food demand.

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BOX 1.2

Tracking the impact on poverty of the conflict in the Middle East *(continued)*

The 2026 nowcasts for poverty presented throughout this report use the growth rates in real per capita gross domestic product (GDP) of *Global Economic Prospects, June 2026* (World Bank 2026c).[a] The baseline estimates assume that the incomes of everyone in the country grow at the same rate. However, higher prices for food and energy will affect households to a varying degree. Typically, poorer households spend a larger share of their budgets on food and energy and are thus more sensitive to price changes for these items.

To investigate the disproportionate impact, two methods allow variation in the intensity of the shock faced by households (Kimura et al. 2026). In both cases, the average growth of the economy is maintained at the level indicated in *Global Economic Prospects, June 2026* (World Bank 2026c), which captures the aggregate income and price shock. First, households are allocated sectoral growth rates based on their sector of employment. Second, inflation is allocated to households depending on their budget's exposure to food and energy. Poorer households typically spend a greater share on food and energy and thus receive lower real income if the prices of these items rise. A distribution-neutral assumption, which is used as the baseline throughout the report, would instead assume the equal distribution of inflationary shocks.

The baseline using projections of *Global Economic Prospects, June 2026* (World Bank 2026c) provides estimates of the number of people living in extreme poverty at 811 million people in 2026 (refer to figure B1.2.1). This is an increase of 2.5 million people relative to the preconflict growth projections of *Global Economic Prospects, January 2026* (World Bank 2026b). While these differences are not solely attributable to the conflict, the numbers confirm a worsening outlook.

Allowing for distributional impacts either from uneven income shocks or price shocks leads to a further increase compared with the preconflict projections and essentially a stagnation in extreme poverty relative to 2025 (when the number was 816.9 million people). Taking the differential impact of sectoral growth rates into consideration reveals that 816.6 million people were estimated to be living in extreme poverty in 2026. One of the main reasons is that projected agricultural growth is much lower than the growth projected in the service and industrial sectors in 2026. Because a larger share of the extreme poor work in the agricultural sector, poverty reduction is muted because of the low agricultural growth. This also highlights that it is important for the poor to engage in resilient high-growth sectors to favor poverty reduction (refer to chapter 4).

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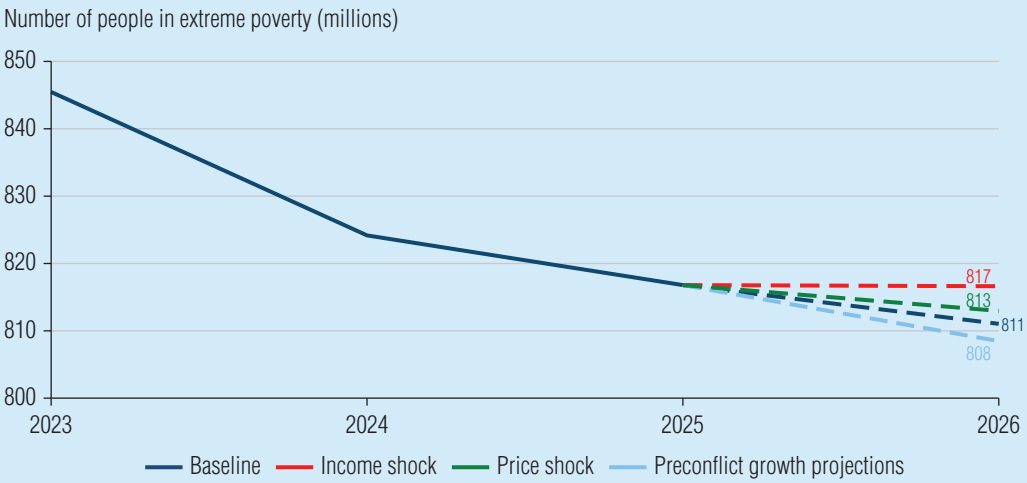
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BOX 1.2

Tracking the impact on poverty of the conflict in the Middle East *(continued)*

FIGURE B1.2.1

Projected extreme poverty increases because of the growth and price impacts of the conflict



Sources: Kimura et al. 2026; World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home; World Bank 2026b, 2026c.
Note: The figure reports the trend in millions of poor people from 2023 to 2026, as assessed against the international poverty line of $3.00-a-person-a-day. Data for 2025 and 2026 are nowcasts and are represented by dashed lines in the figure (refer to annex 1A). The baseline scenario relies on distribution-neutral growth forecasts in *Global Economic Prospects, June 2026* (World Bank 2026c) to nowcast poverty for 2026. The income shock scenario allows for distributional changes by combining household employment data with sectoral growth rates, while the price shock scenario captures disproportionate household impacts based on the household exposure to food and energy spending. The preconflict scenario applies the forecasts in *Global Economic Prospects, January 2026* (World Bank 2026b). In both the income and price shock scenarios, the growth in average income or consumption matches the forecast of the World Bank in June 2026 (World Bank 2026c).

The differential price shock adjusts the real growth rates faced by households based on their food and energy expenditure. Growth is downgraded among households that have above average food and energy exposure, while it is revised upward for the rest to match the overall mean growth in the baseline. With these price shock assumptions, the number of people living in extreme poverty in 2026 is estimated at 813 million people, slightly below the 817 million in 2025.

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BOX 1.2

Tracking the impact on poverty of the conflict in the Middle East *(continued)*

Since January 2026, the global economy has experienced a series of significant developments. There is currently great uncertainty regarding the trajectory of the conflict in the Middle East and its implications for the global economy in 2026, as well as any potential recovery beyond that. Furthermore, El Niño is still intensifying toward a projected peak in late 2026 and already approaching new records. This is driving impacts in food security, incomes, and livelihoods across the globe, including effects on nutrition and human capital that could persist for years.

a. In the case of economies that use a consumption aggregate, a pass-through rate of 0.7 is applied, compared with a rate of 1.0 (full pass-through) in the case of economies that rely on an income aggregates based on the empirical evidence provided by Mahler et al. (2022).

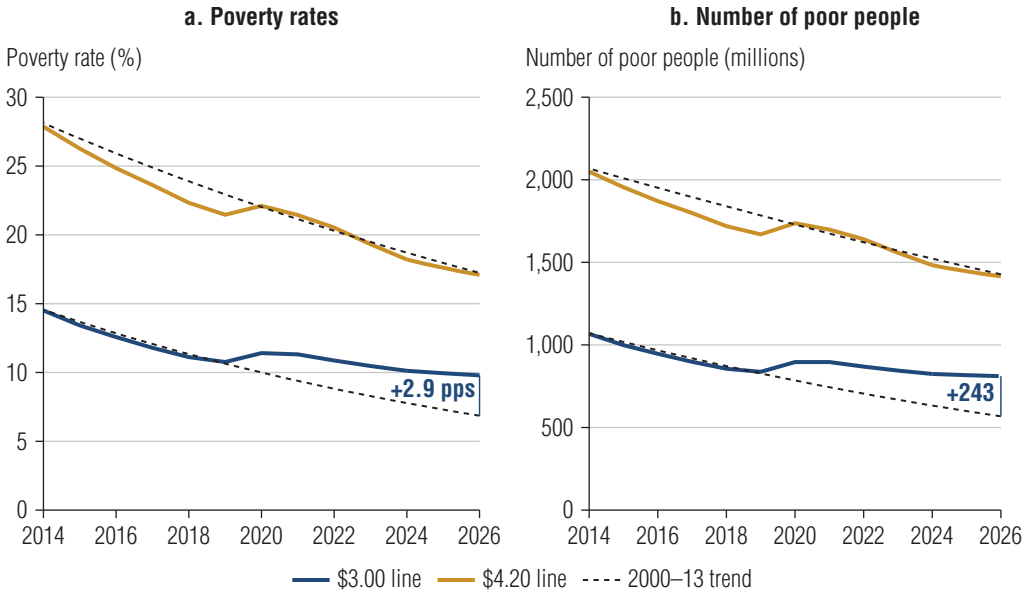
The speed of extreme poverty reduction has shifted markedly over time. Between 1990 and 2004, the global rate of extreme poverty fell from 43 percent to 30 percent, with hundreds of millions of people pulled out of extreme poverty. As the fight against extreme poverty gained momentum in populous economies, most notably China, the global rate of extreme poverty fell starkly in the years after 2004, delivering substantial progress toward the goal of reducing extreme poverty across the globe. However, the momentum shifted in the late 2010s, even before the onset of the COVID-19 pandemic. The slowdown reflected persistently low economic growth in low-income economies leading to an increasing concentration of the global poor in these economies (World Bank 2018, 2024a). After a rise in the incidence of extreme poverty in 2020, poverty rates began to decline, though at a slower pace than previously.

Had poverty continued to decline at the pace observed between 2000 and 2013, the extreme poverty rate would have reached roughly 7 percent by 2026, some 3 percentage points below the actual rate (refer to figure 1.1). In absolute terms, this gap represents approximately 240 million more people living in extreme poverty than would have been the case under the earlier trajectory of poverty reduction. The slowdown relative to the 2000–13 trend is only observable at the $3.00 line. At the higher poverty lines (for example, $4.20), actual poverty reduction has broadly kept pace with the pre-2013 trend.

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FIGURE 1.1

Extreme poverty has fallen less relative to the pre-2013 trajectory



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

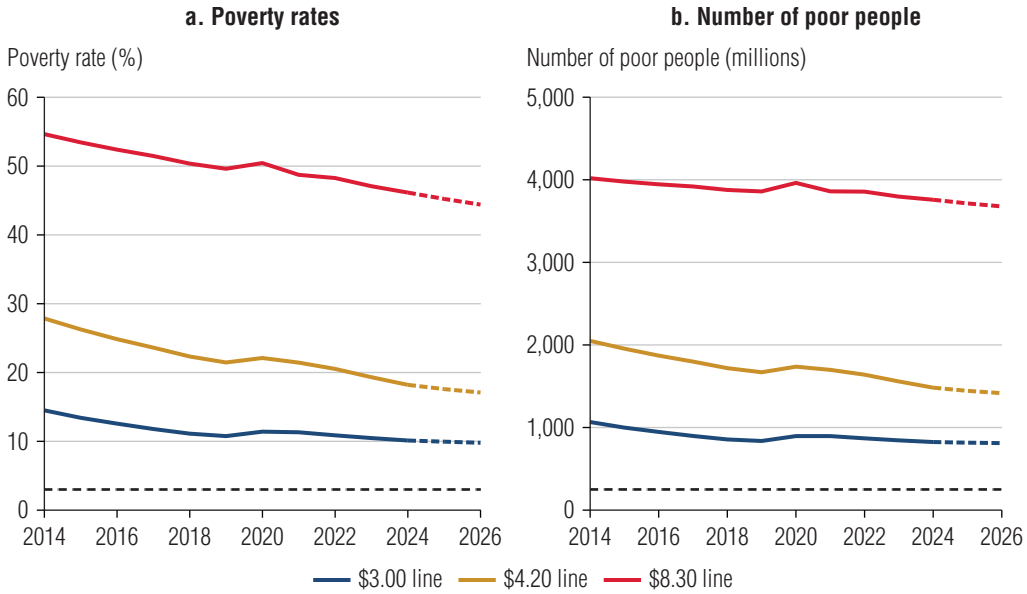
Note: The figure reports poverty rates and the number of poor for the $3.00-a-person-a-day and $4.20-a-person-a-day poverty lines (in 2021 purchasing power parity terms). Dashed lines show counterfactual projections based on the log-linear trend observed between 2000 and 2013, anchored at 2013 values. For the full 1990–2026 series over which the pre-2013 trend can be observed, refer to ~~annex 1B~~. Data for 2025 and 2026 are nowcasts (refer to annex 1A). Values for 2019 are considered projections because survey data in 2019 represent less than 50 percent of the population of low-income and lower-middle-income economies (refer to box 1.4 and annex 1A). pps = percentage points.

Despite this progress in reducing the poverty rates at higher poverty lines, nearly half the world's population in 2026, approximately 3.7 billion people, were living on less than $8.30-a-person-a-day, that is, the value of the poverty line typically associated with upper-middle-income economies (refer to figure 1.2). Thus, although the share of people living below this line dropped from 70 percent in 1990 to 44 percent in 2026, the number of people living below the line did not decline (World Bank 2024a). This stagnation reflects both the fact that the population grew in low- and middle-income economies over the period and the fact that the global progress in pushing incomes above the revised and higher poverty lines has been slower (refer to box 1.1). Many of the people living between the international poverty line (the $3.00-a-person-a-day line) and the $8.30 line have escaped extreme poverty without attaining economic security. The world's middle class is concentrated in middle-income economies (refer to box 1.3).

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FIGURE 1.2

Extreme poverty reduction has come to a standstill



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: The figure reports poverty rates using 2021 purchasing power parities (refer to box 1.1). In panel a, the horizontal dashed line is drawn at 3 percent in 2030, which is the World Bank's target for ending extreme poverty. In panel b, the horizontal dashed line is drawn at 256 million, which represents 3 percent of the global population projected for 2030. ~~For the full 1990–2026 series over which the pre-2013 trend can be observed, refer to annex 1B, figure 1B.6.~~ Data for 2025 and 2026 are nowcasts and are represented by dashed lines in the figure (refer to annex 1A). Values for 2019 are considered projections because survey data in 2019 represent less than 50 percent of the population in low-income and lower-middle-income economies (refer to box 1.4 and annex 1A).

BOX 1.3

The global middle class has grown, but economic security remains out of reach for many

Living above the poverty line does not necessarily mean one has achieved middle-class status. A household that has escaped poverty may still face a substantial risk of falling back into poverty after an illness, a job loss, or a bad harvest, and this risk is what distinguishes the vulnerable from the middle class. In the approach developed by López-Calva and Ortiz-Juárez (2014), a household is middle class if the probability it will fall into poverty is low. The income level at which this probability becomes low is the economic security threshold, which marks the lower boundary of the middle class. Between the poor and the middle class lies a third group that is living above the poverty line, but does not enjoy sufficient security to have middle-class status. A large middle class is widely regarded as a foundation of stable growth because it helps sustain

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BOX 1.3

The global middle class has grown, but economic security remains out of reach for many *(continued)*

domestic demand, investment in education, and support for institutions that mediate distributional tensions (Banerjee and Duflo 2008; Easterly 2001). It is also a product of growth. As an economy's average income rises, so does the share of the population that has attained economic security. The middle-income economies, home to about three-quarters of the world's population (World Bank 2024b), are precisely the ones in which this transition is under way and far enough along that extreme poverty has receded, but not so far that security is the norm.

The thresholds used in this report can serve as approximate class boundaries. Each of the three poverty lines is the typical national poverty line of an income group: $3.00 a day for low-income economies, $4.20 for lower-middle-income economies, and $8.30 for upper-middle-income economies (refer to box 1.1). Households living on less than $3.00 a day are extremely poor by any standard. Those living on between $3.00 and $8.30 are above the extreme poverty line, but would count as poor in a middle-income economy and, for the most part, remain short of economic security. Those living on between $8.30 and $28.00 a day are above the poverty line of every developing economy and constitute a global middle class; and those above $28.00 a day exceed the prosperity standard this report uses to gauge shared prosperity (refer to chapter 2). These thresholds are proxies. Ongoing work indicates that the income required for security is higher than any poverty line. Applying the vulnerability approach to the World Bank's harmonized household surveys—estimating, for each economy, the probability that a household is living on less than the poverty line of the relevant income group over a few years, and identifying the consumption level at which this probability becomes low—yields economic security lines of about $6.00, $7.00, and $14.00 a day for the three income groups. This is roughly twice the corresponding poverty lines, but with wide variation across economies (Bolch et al. 2026). The threshold also shifts with the risks households face. In Europe and Central Asia, the income needed to maintain a low probability of falling into poverty rose by about 10 percent in real terms between 2008 and 2018 as the shocks pushing households into poverty grew larger (Bussolo et al. 2025). There is no fixed income at which security begins. The boundary of the middle class shifts with the environment in which households live.

Measured against these thresholds, the global middle class has grown substantially since 2000, roughly doubling as a share of the world's population. The group living on between $3.00 and $8.30 a day, however, has remained close to a third of the world's population throughout the period. Among large numbers of people, the exit from extreme poverty has thus represented an exit into vulnerability rather than into security.

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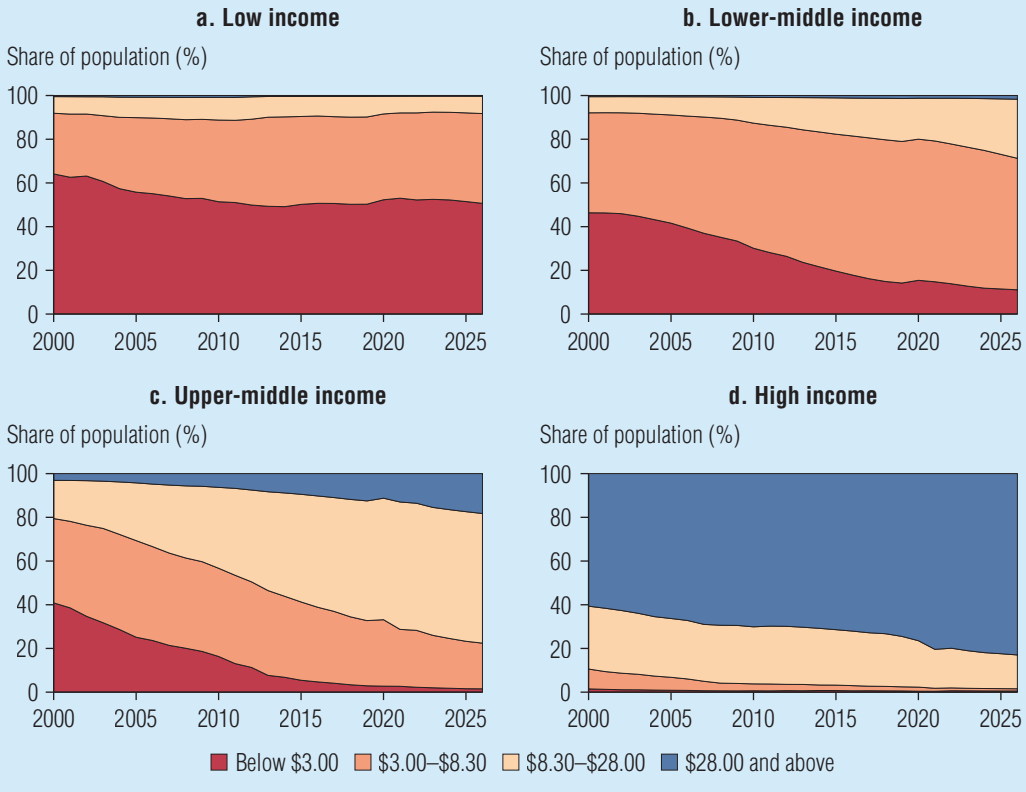
BOX 1.3

The global middle class has grown, but economic security remains out of reach for many *(continued)*

The expansion of the middle class has been concentrated in middle-income economies (refer to figure B1.3.1, panels b and c). In today's upper-middle-income economies, the middle class has grown from a small minority of the population

FIGURE B1.3.1

The global middle class has grown, mostly in middle-income economies



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: The figure reports the distribution of the population across four welfare groups in 2000–26. The groups are defined by the $3.00-, $8.30-, and $28.00-a-person-a-day lines (expressed in 2021 purchasing power parity terms). Economies are grouped according to the World Bank income classification in 2024, and the grouping is held fixed over the period. Because economies are classified by their status at the end of the period, those in the upper-middle-income group are the ones that grew most quickly over these years, and the improvement shown for this group partly reflects this selection. Data for 2025 and 2026 are nowcasts (refer to annex 1A).

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BOX 1.3

The global middle class has grown, but economic security remains out of reach for many *(continued)*

in 2000 to a majority by 2026, and extreme poverty has all but disappeared. In today's lower-middle-income economies, the group living on between $3.00 and $8.30 a day is now the largest, and the middle class, though growing, remains a minority. In low-income economies, the distribution has barely shifted. About half the population is still living on less than $3.00 a day, and the middle class is negligible. High-income economies, by contrast, are composed almost entirely of households living on more than $8.30 a day, and the majority are above the prosperity standard.

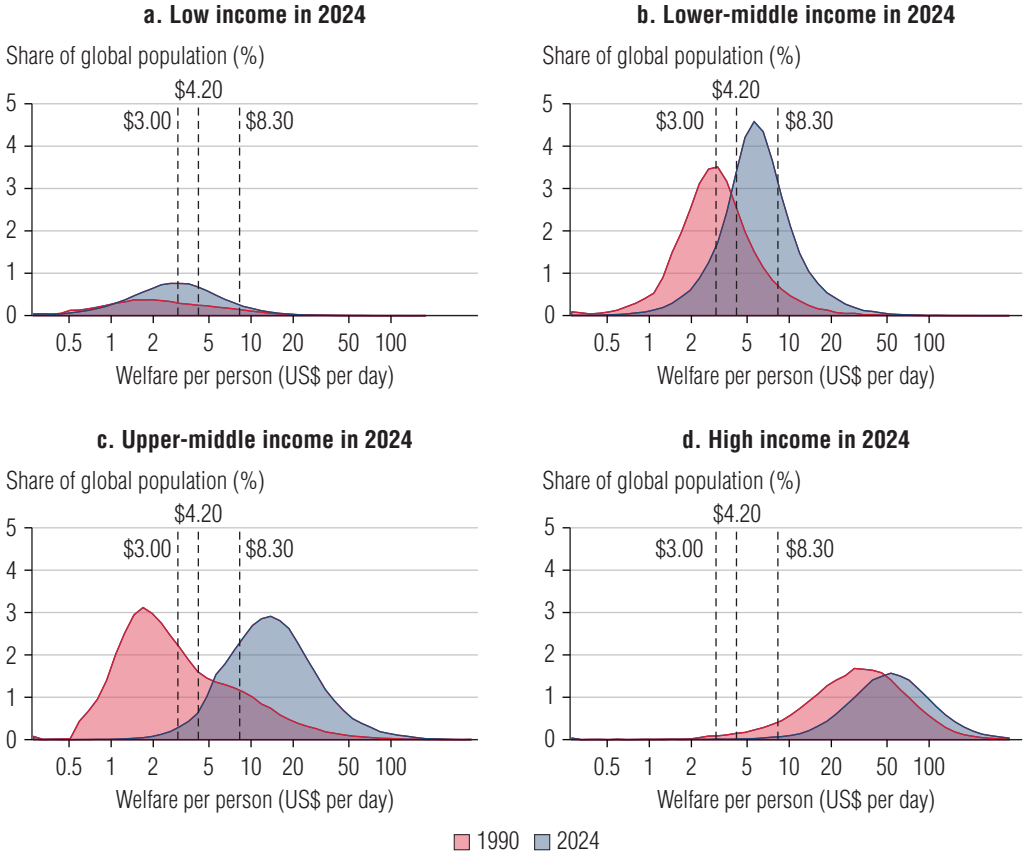
These patterns connect the report's monitoring to the concerns of middle-income economies. More work and better-paying work help people escape poverty (refer to chapter 4). Stable, well-paid jobs also protect against falling back into poverty, and they therefore help households climb from vulnerability to security, an agenda that has particular force in locations where the vulnerable group is largest. Vulnerability to climate-related hazards—a distinct concept, reflecting the lack of the means to cope if a hazard strikes rather than the risk of falling back into poverty—extends well above the poverty line (refer to chapter 3). Vulnerability in this case means that middle-class households are also exposed to risk if social protection and financial services are lacking. The $8.30 line and the $28.00 prosperity standard are precisely the boundaries within which the middle class is found.

The upward shift in the global distribution of welfare between 1990 and 2024 that resulted in poverty declines was highly uneven across income groups (refer to figure 1.3). In 1990, the global distribution was heavily concentrated at the lowest income levels. Half the world was living on less than $3.55 a day. By 2024, however, many people had moved above the international poverty line, and the median income had risen to $9.20 a day, reflecting substantive improvements in living standards across much of the globe. Yet, in today's low-income economies, the welfare distribution has shifted only slightly in a more positive direction over the past three decades. Meanwhile, in the lower- and upper-middle-income economies of today, populations that were clustered around or even below the $3.00 thresholds in 1990 have, since then, shifted substantially in a positive direction. This partly reflects the dramatic welfare increases in China and India.

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FIGURE 1.3

The welfare distribution in low-income economies shifted little between 1990 and 2024



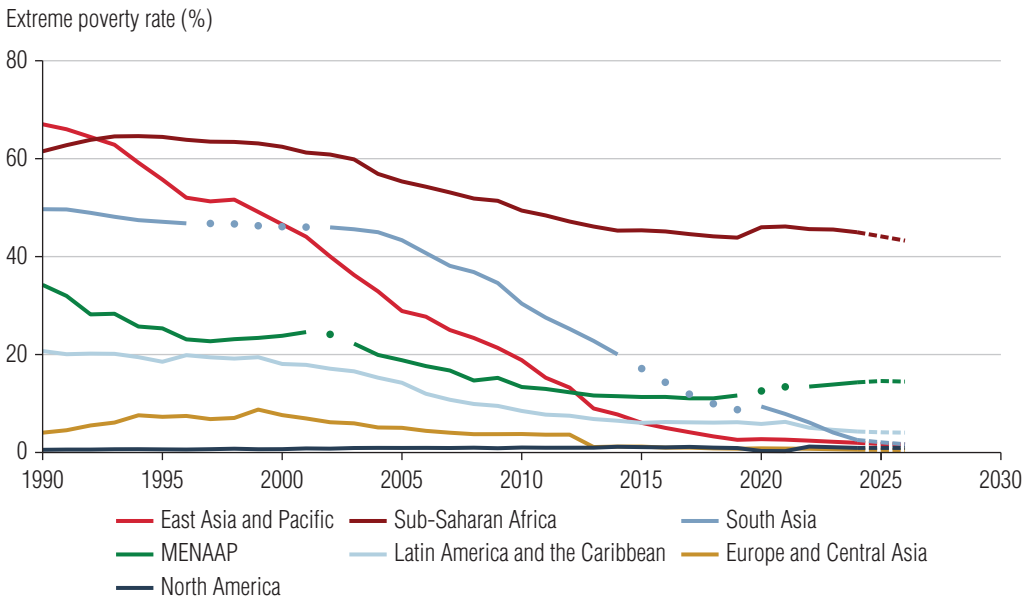
Source: World Bank calculations based on data from 1000 Binned Global Distribution, 1990–2026 (version September 2026), World Bank, https://datacatalog.worldbank.org/search/dataset/0064304/1000-binned-global-distribution.
Note: The figure shows the welfare distribution of the combined population of the economies in each of the four income classification groups in 1990 and in 2024. Income group classifications reflect each economy's status in 2024. So, the countries considered in each group is held constant over time. The figure reports welfare using 2021 purchasing power parity dollars.

Overlapping crises and stagnation in some regions may explain these patterns and the global slowdown in poverty reduction (Bussolo et al. 2008; Imam and Temple 2026). In previous decades, rapid poverty reduction in East Asia and Pacific and, more recently, in South Asia, where rates of extreme poverty fell from above 50 percent to low single digits, largely drove progress in reducing global rates of extreme poverty (refer to figure 1.4). Latin America and the Caribbean also experienced substantial declines, though progress in that region has stagnated in the most recent decade.

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FIGURE 1.4

The rate of extreme poverty remains high in Sub-Saharan Africa and has stagnated in the Middle East, North Africa, Afghanistan, and Pakistan



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: The figure reports extreme poverty rates ($3.00-a-person-a-day poverty line in 2021 purchasing power parity terms). Dots within lines indicate that surveys around the corresponding year covered less than 50 percent of a region's population (refer to box 1.4 and annex 1A). Dashed portions of lines show data that are nowcasts (refer to annex 1A). The regional groupings align with the World Bank's current regional classification and differ from those used in previous editions of the report. MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

Sub-Saharan Africa, in contrast, experienced much more modest improvement.[2] There, extreme poverty rates declined from 62 percent in 1990 to 43 percent in 2026. The extreme poverty rate has declined little in the region since 2014. In the Middle East, North Africa, Afghanistan, and Pakistan region (refer to box 1.4 for information on World Bank regional classifications), extreme poverty has been increasing in recent years. In both regions, low rates of per capita economic growth have undermined efforts to reduce poverty (Beegle et al. 2016). The COVID-19 pandemic has had a particularly persistent impact in these regions, where low rates of economic growth make recovery from such shocks a lengthy prospect. In MENAAP, poverty rates at the $3.00 and $4.20 lines have not yet returned to prepandemic levels, while 2026 is the first year in which poverty rates at the $3.00 line are projected to be back at the prepandemic level in Sub-Saharan Africa (World Bank 2024a) (refer to figure 1.4). The world's low-income economies are overwhelmingly concentrated in these two regions.[3] Meanwhile, the conflict in the Middle East has generated new economic strains. Rising energy, food, and fertilizer prices are projected to have slowed the pace of poverty reduction additionally between 2025 and 2026 (refer to box 1.2).

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BOX 1.4

The Poverty and Inequality Platform has been updated with new data and revised regional classifications

The data on poverty and inequality used throughout the report are available through the World Bank's online tool for statistics on poverty, inequality, and shared prosperity: the Poverty and Inequality Platform (PIP). The PIP data build primarily on national household surveys and are usually updated twice a year as national statistical offices around the world make new data available. The availability of recent survey data is crucial for the accuracy and reliability of the platform's estimates of poverty and shared prosperity.

Any specific region is considered covered by data in a given year if the economies with at least one survey within a three-year window on either side of the year account for at least 50 percent of the region's population. Because of a lack of data, neither the Middle East and North Africa nor Sub-Saharan Africa were included among the post-2020 data in *Poverty, Prosperity, and Planet Report 2024* (World Bank 2024a). Since then, more recent data have become available for a number of populous economies, greatly increasing the regional and global coverage in the post-COVID years. The updates include data on Ethiopia (2021) and Nigeria (2022/23), which results in coverage for Sub-Saharan Africa up to 2024, as well as new data for the Arab Republic of Egypt (2021/22), India (2022/23, 2023/24), and Pakistan (2024/25).

As part of the September 2025 PIP update, new regional groupings were implemented to align with the revised World Bank regional groups. First, until then, some high-income economies had been excluded from the geographic regions, but included as a separate group referred to as Other High Income or Rest of the World. Now, all high-income economies are included in the corresponding geographic regions, which means that a new region, North America, has been added. Second, the World Bank recently moved Afghanistan and Pakistan from the South Asia region to the Middle East and North Africa region, now labeled Middle East, North Africa, Afghanistan, and Pakistan (World Bank 2025d). The only World Bank region in which the composition did not change in the revision is Sub-Saharan Africa. Up-to-date estimates for the previously used regional classifications are available on the PIP website to allow for comparisons with previous editions of the report.

Annex tables 1C.1–1C.3 provide an overview of poverty rates, numbers, and shares by region.

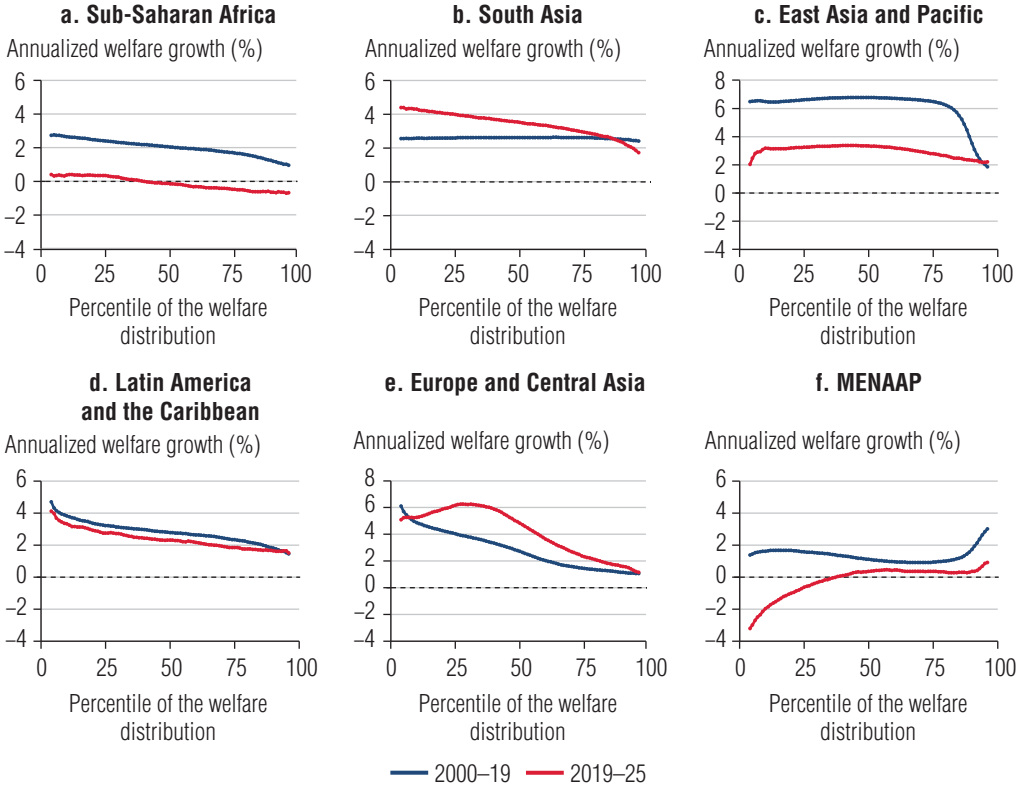
The disparities are even more pronounced at higher global poverty lines, which show that poverty rates are stagnating or rising in MENAAP and Sub-Saharan Africa, indicating that, even if households escape extreme poverty, they remain vulnerable to falling back into extreme poverty (refer to box 1.3 and annex 1B, figure 1B.1). These higher poverty lines highlight significant challenges in other regions as well. In South Asia, for instance, more than 70 percent of the population is living on less than $8.30 a day.

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The growth patterns underlying these trends reveal why progress has stalled. Growth incidence curves show that, between 2000 and 2019, most regions experienced positive welfare growth across the distribution. East Asia and Pacific recorded the strongest and most broad-based gains, followed by the Europe and Central Asia region and the Latin America and Caribbean region (refer to figure 1.5). In Sub-Saharan Africa, welfare grew at around 2 percent annually across the distribution. Since 2019, welfare growth in the region has averaged near zero among the poorest and turned negative across the upper half of the distribution (Wu et al. 2024).

FIGURE 1.5

Welfare growth varies across welfare distribution in all regions



Source: World Bank calculations based on data from 1000 Binned Global Distribution, 1990–2026 (version September 2026), World Bank, https://datacatalog.worldbank.org/search/dataset/0064304/1000-binned-global-distribution.

Note: The growth incidence curves depicted in this figure are calculated between 2000 and 2019 and between 2019 and 2025 based on the welfare distribution in each region. They reflect the growth reported in household surveys, which may not coincide with national accounts. The panels do not account for any breaks in comparability in the surveys during 2000–25. The figure excludes the bottom and top three percentiles of the welfare distribution. The regional groupings align with the World Bank's current regional classification and differ from those used in previous editions of the report. MENAAP = Middle East, North Africa, Afghanistan, and Pakistan

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Welfare growth in MENAAP has shown a concerning pattern. Between 2000 and 2019, welfare grew modestly, at around 1.5 percent annually, across most of the distribution. However, welfare growth among the poorest percentiles has turned negative since 2020, even as incomes higher in the distribution have continued to grow modestly. This means that the poorest are not only failing to escape poverty, but are falling farther behind. Both insufficient growth and high levels of inequality limit how effectively growth translates into poverty reduction. Since 2010, per capita incomes in low-income economies have barely risen, averaging less than 0.1 percent growth annually (World Bank 2025a). The sustained growth accelerations that have historically driven large poverty reductions in low-income economies have largely disappeared (World Bank 2025b). Global per capita income growth in low-income countries is projected to slow to its weakest pace since the COVID-19 pandemic, amid renewed energy-price shocks from the conflict in the Middle East (World Bank 2026c). Elsewhere, growth has remained stronger and more inclusive. South Asia, in particular, has shown strong, broad-based welfare gains across the distribution.[4]

Poverty is now concentrated in economies where progress has stopped

Extreme poverty is highly concentrated geographically. More than half the extreme poor across the globe are concentrated in only 9 economies, and three-quarters are living in 20 economies (refer to figure 1.6).[5] Of the nine economies, six are in Sub-Saharan Africa; the others are India, Pakistan, and the Republic of Yemen.

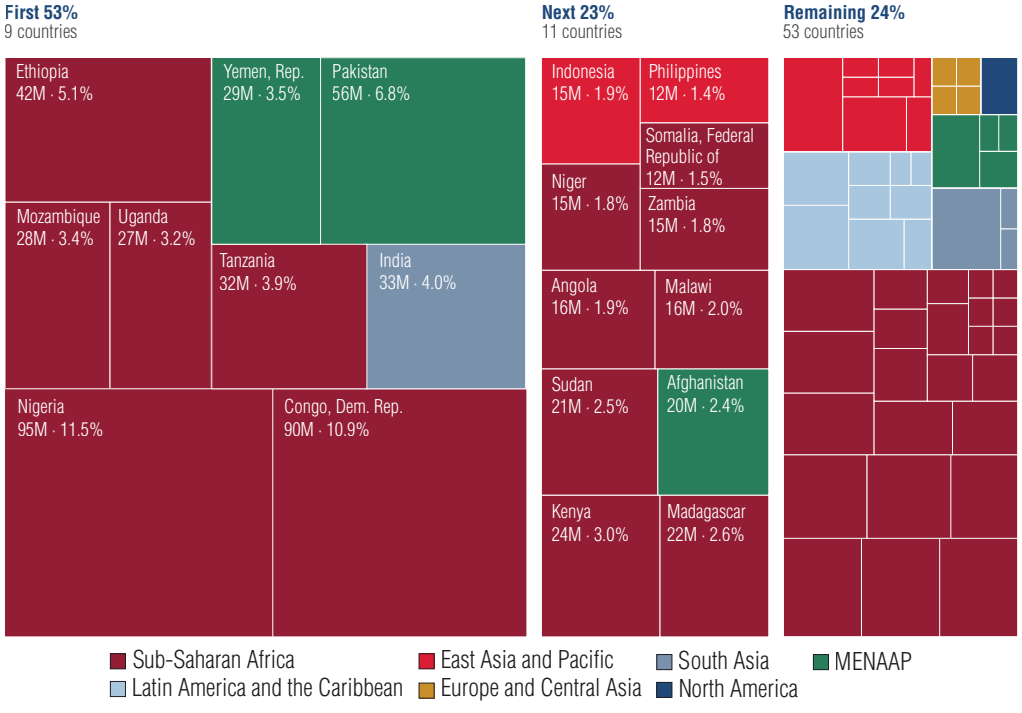
The countries with high populations of poor people are on the list because of large populations or because of high poverty rates, or both. For example, India is among the top nine economies by poor population not because of a high extreme poverty rate, but because it is the most populous country in the world. Whereas India's extreme poverty rate has decreased substantially over the last 15 years, poverty rates have either stagnated or increased in the remaining eight economies. These statistics are subject to uncertainty, however. In some of these economies, such as Afghanistan and the Federal Republic of Somalia, no survey data exist, and poverty estimates must therefore be imputed (Mahler et al. 2026). In others, such as the Republic of Yemen, the last survey with relevant data is several years old, and estimates must be extrapolated forward.

The concentration of poverty shifts at higher poverty lines (refer to annex 1B, figure 1B.2), and Sub-Saharan Africa becomes less dominant. More populous economies, notably India, make up a larger share of the global poor if poverty is measured at $4.20- or $8.30-a-person-a-day.

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FIGURE 1.6

Extreme poverty is concentrated in a few economies, 2024



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: The figure reports the number of people living in extreme poverty, that is, at the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms) and the global share of extreme poverty. The 20 economies with the largest share of poor people are labeled. The figure reports the estimates that underlie the global and regional aggregates. These have been extrapolated or interpolated to a common year if a survey is unavailable in 2024 (refer to annex 1A). For example, in the case of the Republic of Yemen, the latest available survey has been extrapolated from 2014. Furthermore, countries without any available surveys in the Poverty and Inequality Platform, such as Afghanistan and the Federal Republic of Somalia, have been imputed following the method of Mahler et al. (2026). The Philippines collects survey data on both household income and consumption expenditure. World Bank aggregates choose consumption over income if both are available. If the income-based estimates were used instead, the number of people living in extreme poverty in the Philippines would be 6 million in 2023. The regional groupings align with the World Bank's current regional classification and differ from those used in previous editions of the report.

This unevenness in the location of the poor partly reflects the size of populations across economies. A dissimilarity index has been developed to measure the extent to which the concentration of poverty exceeds estimates based on population size alone if poverty rates were evenly distributed across economies by population size (refer to annex 1D). If an economy has a share of the global poor that is equal to its share of the global population, the index is 0. The closer the index is to 1, the more skewed poverty is relative to an economy's population size. Globally, the index rose from 0.31 in 2000 to 0.33 in 2010 and 0.65 in 2024, more than doubling in a quarter century. The 20 percent of the global population living in the economies with the

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highest rates of poverty accounted for roughly 37 percent of the extreme poor in 2000; by 2024, the share had risen to around 85 percent.

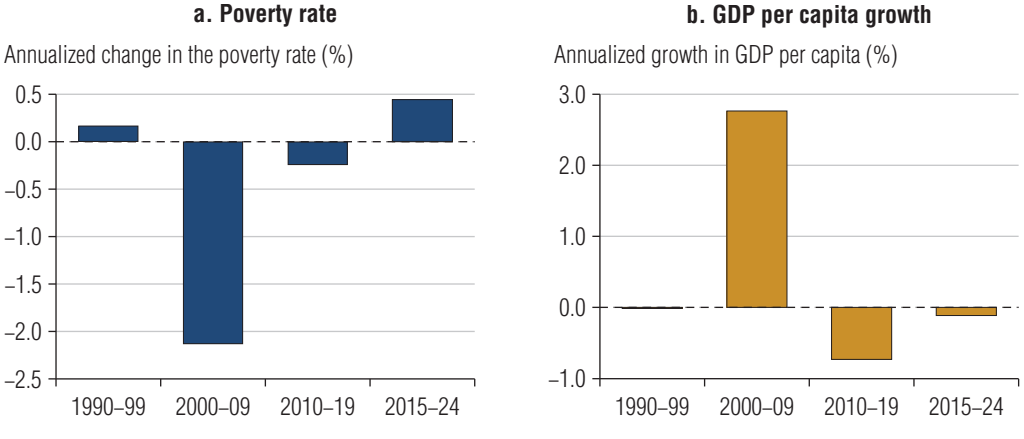
Today's low-income economies face greater obstacles than their predecessors. In 2000, today's low-income economies had per capita incomes around 60 percent of the mean per capita income in economies that have since graduated to middle-income status. By 2023, the ratio had fallen to 30 percent, as incomes in low-income economies stagnated, while those in economies that have since graduated continued to grow (World Bank 2025a).

Today's low-income economies are also doing worse than they did in the past. The 26 economies classified as low-income economies today reduced extreme poverty at more than 2 percent annually during the 2000s, with average gross domestic product (GDP) per capita in each growing at a rate close to 3 percent (refer to figure 1.7). Progress has since slowed sharply. Poverty reduction nearly stalled between 2010 and 2019, and, in the decade ending in 2024, extreme poverty in these economies rose, while GDP per capita declined. The progress of the 2000s has thus not been sustained.

While extreme poverty is increasingly concentrated in low-income economies, half the world's poor continue to live in middle-income economies. In 2025, low-income economies accounted for 49 percent of the world's extreme poor at the $3.00 line, up from 18 percent in 2010. This shift was driven largely by rapid poverty reduction in large middle-income economies, particularly China and India. The share of the extreme poor in today's lower-middle-income economies declined by 8 percentage points, to 44 percent, in 2010–25 (refer to figure 1.8). At higher poverty lines, poverty is even more highly concentrated in middle-income

FIGURE 1.7

Progress in reducing extreme poverty has stalled in low-income economies



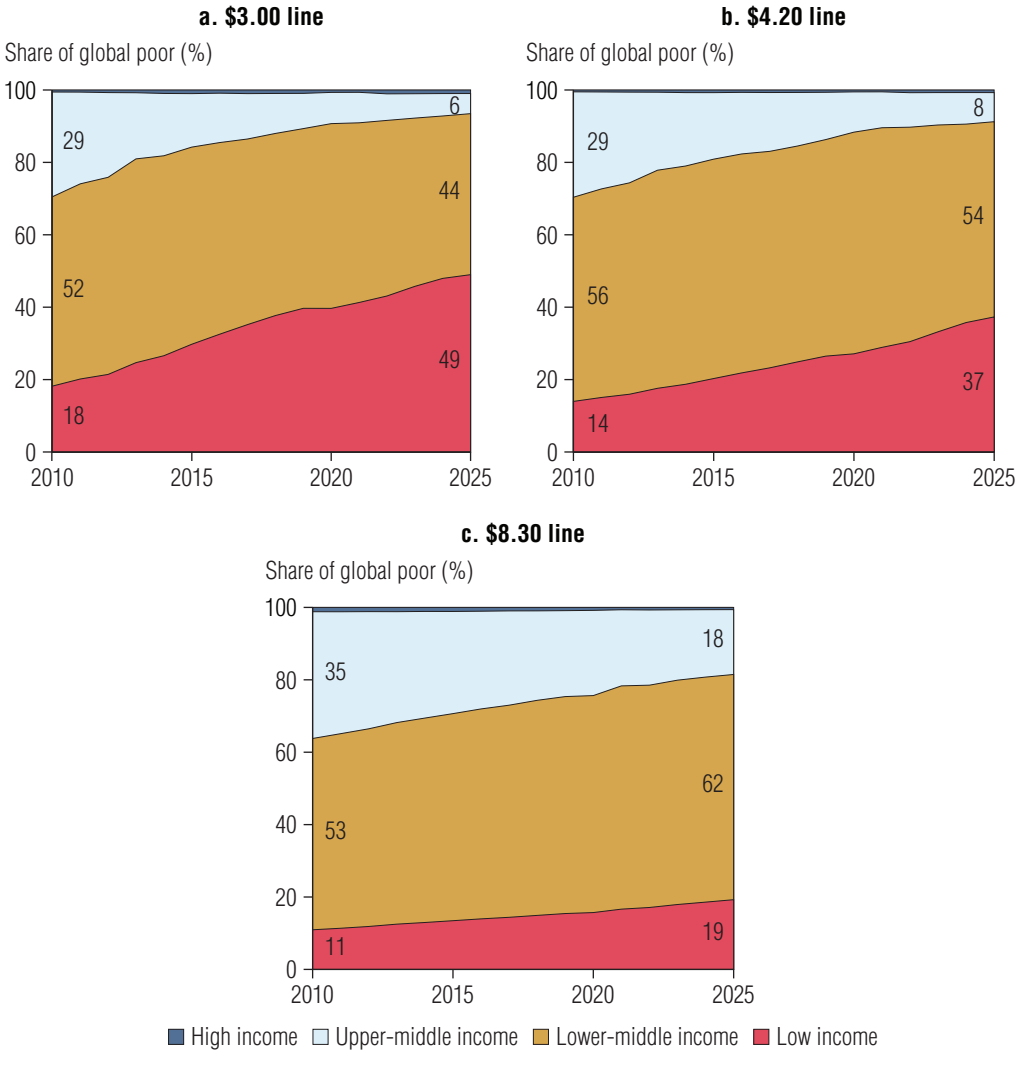
Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: Annualized changes are shown as population-weighted averages for the 26 economies the World Bank classified as low income in fiscal year 2026. Poverty rates are reported for the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms). GDP per capita growth is based on constant prices.

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FIGURE 1.8

Most of the world's poor live in middle-income economies, especially at the higher poverty lines



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: The figure reports the share of the global poor living in each income group at three poverty lines (in 2021 purchasing power parity terms). Economies are classified into income groups according to the World Bank classification in fiscal year 2026.

economies. At the $4.20 line, nearly two-thirds of the global poor live in middle-income economies (54 percent in lower-middle-income economies). At the $8.30 line, 80 percent of the poor are living in middle-income economies. A handful of large middle-income economies drive these numbers. At the $4.20 line, India, Nigeria, and Pakistan, together, account for more than a third of the global poor. At the $8.30 line, India alone accounts for over 1 billion people

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(refer to annex 1B, figure 1B.2). Across all poverty lines, the shares of the poor have risen in low-income economies, while they have fallen in upper-middle-income economies. Continued progress in middle-income economies, where structural growth challenges can impede sustained poverty reduction (World Bank 2024b), therefore remains pivotal to reducing global poverty. Many of the people who have escaped extreme poverty in middle-income economies are still living close to the $3.00 line. Incomes are clustered between $3.00 and $4.20 a day, well short of the economic security that defines the middle class (refer to box 1.3 and figure 1.3). This concentration means that the recent gains are fragile. Economic downturns, climate shocks, or conflict could push large numbers of people back into poverty, as the COVID-19 pandemic demonstrated (Mahler et al. 2022).

After decades of progress, global extreme poverty is projected to rise

That poverty is now concentrated in economies where progress has stalled has profound implications for the outlook on extreme poverty. Because the population is also growing most rapidly in these same economies, the rising share of the global population in these economies is pulling the global poverty rate upward, even if national rates do not worsen. The stalled reduction in poverty may not merely be a temporary setback.[6] If per capita growth in these economies continues at the pace observed over 2015–24, the global extreme poverty rate and the number of people living in extreme poverty will increase by 2030 (refer to figure 1.9). This would represent an unprecedented reversal of the decades-long decline in the global number of the extreme poor.

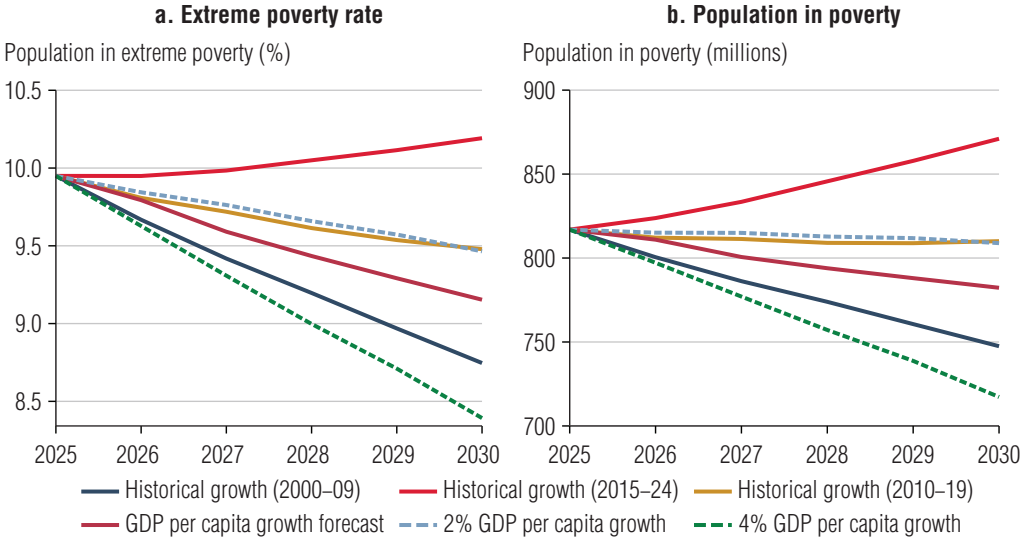
If these economies were to achieve the growth rates they experienced during 2000–09, the global poverty rate would still remain above 8 percent in 2030 even under these more optimistic assumptions. Current GDP forecasts show slower poverty reduction, resulting in a poverty rate above 9 percent in 2030. Only under sustained annual global GDP growth of 4 percent would the extreme poverty rate approach the ambitious 3 percent goal by 2050, two decades later than the initial target year. These simulations hold within-country inequality constant at today's level. If economies manage to achieve pro-poor growth, the projected poverty rates would be lower.[7] For example, growth in agriculture has been shown to benefit the poorest relatively more, although this effect dissipates as economies become richer (Beegle and Christiaensen 2019).

Poverty rates in many low-income economies, particularly those in a fragile and conflict-affected situation, are projected to decline only marginally.[8] These same economies are projected to experience substantial population growth (refer to figure 1.10).[9] Thus, it is the growing population in economies with high poverty rates, not the rising poverty rates, that give these economies greater weight in the aggregate poverty rate and that is driving the projections of rising global poverty rates. Fragile economies that are involved in conflict are at the center of this pattern. Economies such as the Central African Republic, the Democratic Republic of Congo, Mozambique, Niger, Sudan, and the Federal Republic of Somalia combine some of the highest current poverty rates with some of the most rapid projected population growth.

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FIGURE 1.9

Extreme poverty is projected to increase under current conditions



Sources: World Bank calculations based on data from 1000 Binned Global Distribution, 1990–2026 (version September 2026), World Bank, https://datacatalog.worldbank.org/search/dataset/0064304/1000-binned-global-distribution; Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home; Poverty and Inequality Platform Poverty Projections, World Bank, https://datacatalog.worldbank.org/int/search/dataset/0067066/pip_poverty_projections.

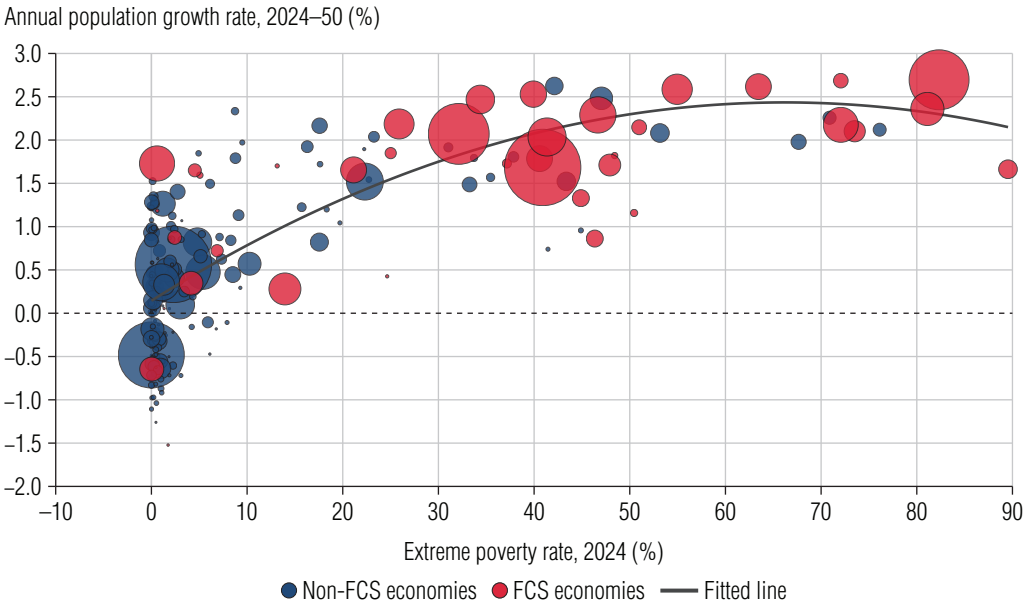
Note: The figure reports extreme poverty rates for the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms). Historical growth scenarios apply each economy's observed GDP per capita growth during the stated period. GDP per capita growth forecasts use each economy's projected GDP growth in the coming years from *Global Economic Prospects, June 2026* (World Bank 2026c) for 2026–27, combined with growth projections from the International Monetary Fund for 2028–30 (IMF 2025, 2026). The 2 percent and 4 percent GDP per capita growth scenarios assume growth in all economies at 2 percent or 4 percent a year.

Poverty reduction is especially difficult in economies affected by conflict and institutional weakness, which typically face compounding challenges even after the conflict has subsided (Corral et al. 2020; Federle et al. 2024; Korn and Stemmler 2025; Novta and Pugacheva 2021; World Bank 2025b). Conflict destroys assets and disrupts livelihoods, whereas poverty fuels grievances and weakens the capacity of the state to prevent violence (Corral et al. 2020). These challenges are compounded by the current global environment, in which economies dependent on energy imports and economies directly affected by conflict face the weakest growth prospects (World Bank 2026c). Furthermore, when a population grows quickly, the economy must expand even more quickly to deliver the same level of improvement in per capita welfare.

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FIGURE 1.10

The population is expected to grow most quickly in high-poverty economies and those affected by fragility, conflict, and violence



Sources: UN DESA 2024; World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.
Note: Each bubble in the figure represents an economy. The horizontal axis shows the rate of extreme poverty in 2024 at the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms). Bubble sizes reflect expected population numbers in 2050. Economies are considered to be in fragile and conflict-affected situations (FCS) based on the World Bank's classification in 2025.

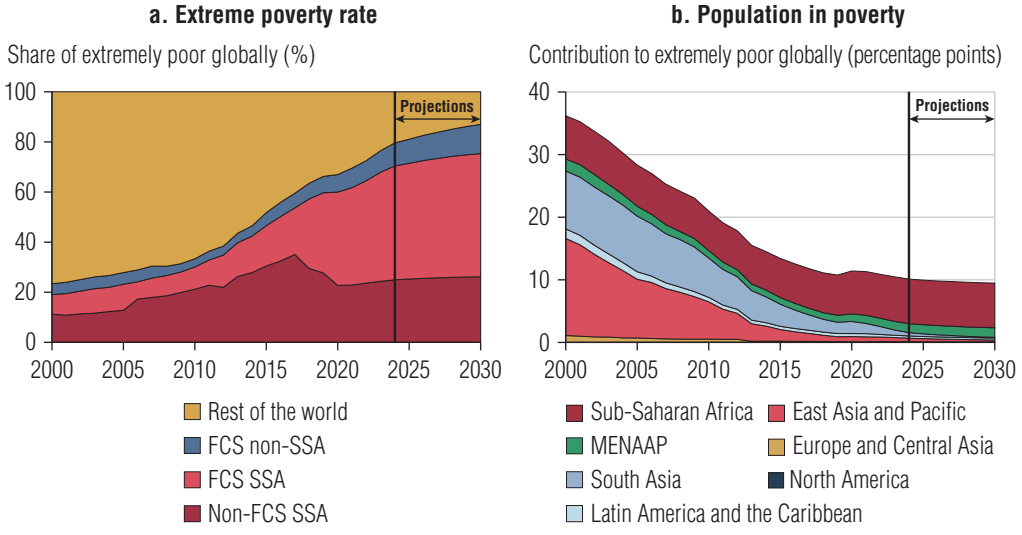
The global population living in FCS economies more than doubled between 2010 and 2025, rising from 6.0 percent to 13.5 percent. Over this period, a growing number of economies with large populations and high poverty rates became fragile or affected by conflict and violence.[10] At the same time, poverty rates fell more rapidly in non-FCS economies, thereby increasing the share of FCS economies in the global total. As of 2026, more than half the extreme poor globally, 57 percent, were living in an FCS economy, up from 12 percent in 2010 (refer to figure 1.11, panel a).

The extreme poverty rate in Sub-Saharan Africa is projected to decline by about 3 percentage points by 2030. Yet, the region's share of the global population is projected to rise over the period, thereby pushing the global poverty rate upward. The same holds for the MENAAP region, where poverty rates are projected to increase and the population continues to expand (refer to figure 1.11, panel b). By 2030, 87 percent of the extreme poor globally will be living either in Sub-Saharan Africa or in an FCS economy (refer to figure 1.11, panel a).

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FIGURE 1.11

The concentration of extreme poverty in FCS economies and in Sub-Saharan Africa will increase



Sources: IMF 2025; UN DESA 2024; World Bank 2025b; World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.
Note: The figure reports poverty rates for the $3.00-a-day poverty line (in 2021 purchasing power parity terms). Poverty rate projections for 2025–30 are based on historical GDP per capita growth rates of economies in 2010–19 (refer to figure 1.9). Economies are classified as in a fragile and conflict-affected situation (FCS) using the World Bank classification of FCS from each year until 2025 (fiscal year 2026). The classification is fixed after 2025. The regional groupings align with the World Bank's current regional classification and differ from those used in previous editions of the report. MENAAP = Middle East, North Africa, Afghanistan, and Pakistan. SSA = Sub-Saharan Africa.

Poverty persists unevenly across people and places

This section examines who the poor are by education, age, residency in urban or rural areas, and subregions within economies. It relies on investments in expanded databases to explore these links. The poverty estimates are constructed from household measures of consumption or income and assume an equal allocation of resources within households, regardless of age and gender.[11]

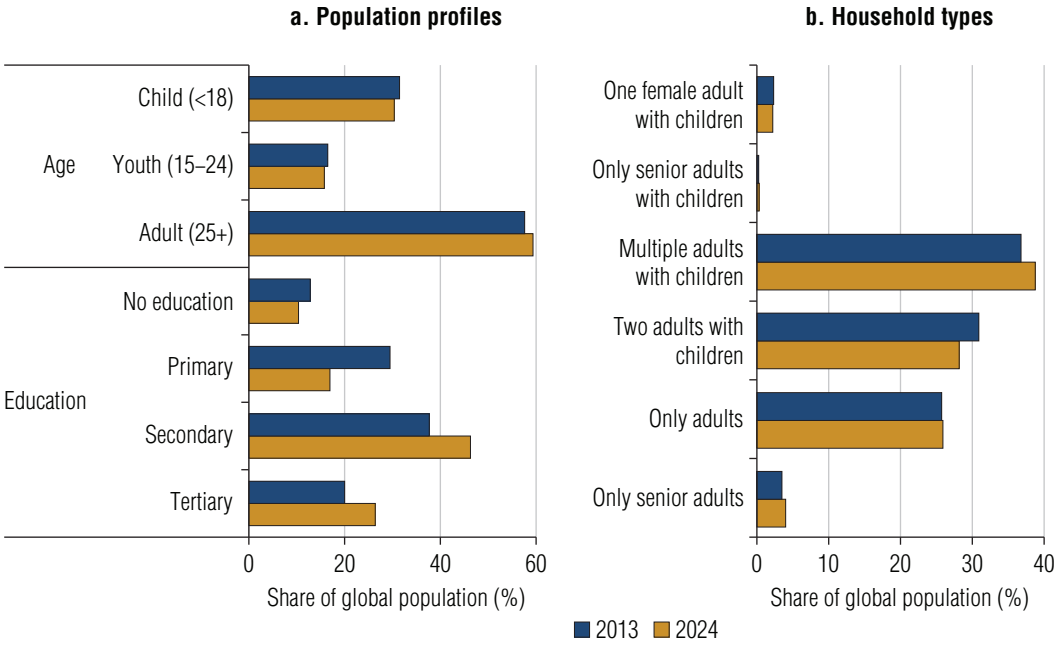
Poverty is highest among young people, people with low educational attainment, and in households caring for children without two working-age adults

Globally, populations are becoming more educated, and age composition is changing only slightly (refer to figure 1.12, panel a).[12] As of 2024, almost three in four people globally were living in households with children, 39 percent in multiple-adult households, and 28 percent in two-adult households; only 2 percent were living in households with one female adult and children, and fewer than 1 percent in households in which senior adults alone cared for children (refer to figure 1.12, panel b).

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FIGURE 1.12

Global populations are becoming more educated



Sources: Panels a and b: Global Monitoring Database (version September 2026), internal database, World Bank. Panel a: Luxembourg Income Study Database, (May 2026 vintage), LIS Cross-National Data Center, https://www.lisdatacenter.org/our-data/lis-database/.

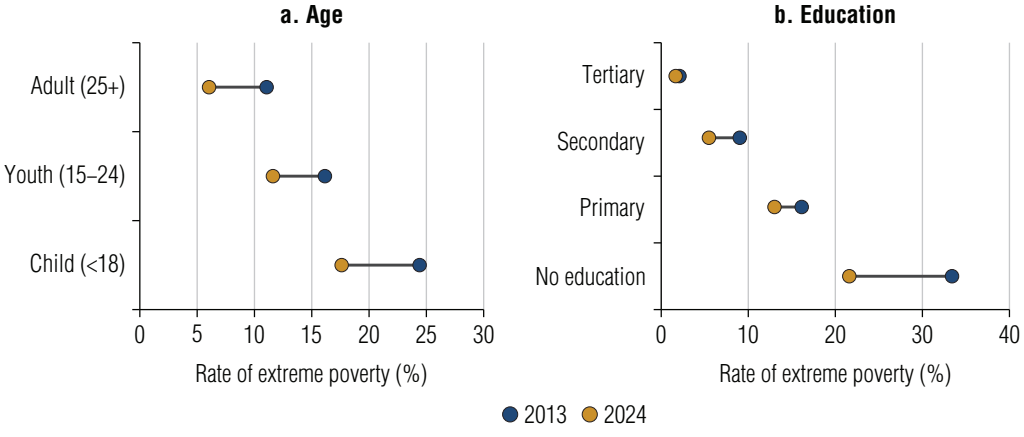
Note: The analysis uses data aligned with 2013 and 2024 (refer to annex 1A). Population shares by age-group in panel a do not sum to 100 percent because the children and youth categories overlap slightly. Panel b groups households into six types based on the age and sex of adult members and the presence of children following De la Flor Giuffra et al. (2025). Households not falling into any of the six types account for fewer than 1 percent in the data. The household typology data used in panel b show less coverage (refer to annex 1A), notably among high-income economies, than the data used to construct profiles in panel a. Child = ages 0–17. Youth = ages 15–24. Adult = ages 25–64. Senior = ages 65+.

Poverty varies sharply across these groups, even within economies at similar income levels (World Bank 2018). Children under age 18 face the highest rates of extreme poverty of any age-group. Individuals with no formal education face the highest rates of any educational group. Across these groups, rates of extreme poverty vary substantially, though all groups experienced declining poverty rates between 2013 and 2024. Age represents a stark divide. Children under age 18 were the most likely age-group to live in poor households in 2024, at 18 percent, compared with only 6 percent among adults (refer to figure 1.13, panel a). Poverty rates declined steadily with age, reflecting the vulnerability of households with many young dependents. The high share of children among the extreme poor reflects and reinforces the population growth challenge, that is, high child dependency ratios mean that the same level of economic growth translates into smaller gains in per capita welfare, requiring more rapid aggregate growth merely to keep pace with population expansion (Cruz and Ahmed 2018; World Bank 2016).

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FIGURE 1.13

Rates of extreme poverty are high among youth and people with no education



Sources: Global Monitoring Database (version September 2026), internal database, World Bank; Luxembourg Income Study (May 2026 vintage), LIS Cross-National Data Center, https://www.lisdatacenter.org/our-data/lis-database/.
Note: The figure reports poverty rates for the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms). The analysis uses data that are aligned with 2013 and 2024 (refer to annex 1A).

Educational attainment is strongly associated with poverty incidence. Individuals with no formal education in 2024 faced poverty rates of 22 percent, compared with only 6 percent among individuals with secondary education and 1 percent among individuals with tertiary education (refer to figure 1.13, panel b). Poverty declined by the greatest amount in absolute terms—12 percentage points—between 2013 and 2024 among individuals with no formal education. A Shapley decomposition of this decline reveals that, within economies, the poverty rate among individuals with no formal education fell by 15 percentage points (refer to annex 1B, figure 1B.3).[13] This within-economy progress was highly concentrated. India alone accounted for roughly 70 percent of the progress, and five economies—Bangladesh, China, India, Indonesia, and Pakistan—accounted for nearly all the progress. The increase in the concentration of the people with no schooling globally in higher-poverty regions slightly countered this reduction. In Sub-Saharan Africa, the region's rising share of the global population with no schooling more than offset modest within-economy progress. The decline in poverty rates observed among individuals with no formal education would have been larger if not for this global shift toward Sub-Saharan Africa (which exhibits high poverty rates overall) in terms of the share of the global population with no schooling. A similar pattern holds in primary, secondary, and tertiary education. Thus, within-economy declines in poverty rates dominate, but are partly offset by compositional shifts across education levels.

The profile of poverty in Sub-Saharan Africa differs markedly from the profiles in other regions. Although poverty rates are substantially higher across all groups in Sub-Saharan Africa relative to the same groups in other regions, children under age 18 living in poor households account for more than half the extreme poor in MENAAP and Sub-Saharan Africa, compared with

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30 percent to 46 percent in other regions. A decomposition of changing demographic profiles into geographic and within-region components reveals how these regional differences are reshaping the global profile (refer to annex 1B, figure 1B.4). The geographic concentration of poverty in Sub-Saharan Africa, which has a younger population structure relative to other regions, is entirely driving the rising share of children among people living in poor households globally. Within regions, the child share of the poor population has actually declined slightly.

Globally, households with children face substantially higher poverty rates than households without children (De la Flor Giuffra et al. 2025), and the relevant trends diverged across different household types in 2013–24 (refer to figure 1.14, panel a). Poverty rates fell across all household types globally, but the pace varied. Declines were most rapid among two-adult households with children (18 percent to 12 percent) and among multiple-adult households with children (22 percent to 14 percent), as well as among households without children, which already had low rates. By contrast, declines were slower among households with one woman adult and children (24 percent to 21 percent). As a result, the gap in poverty rates between these household types and two-adult households with children widened over the decade, underscoring how the absence of a second working-age adult is an increasingly important correlate of poverty.

These patterns should be interpreted with caution. Because poverty is measured on a per capita basis, household needs increase one-for-one with the number of household members, ignoring any household economies of scale that arise from resource-sharing within the household. Jolliffe and Tetteh-Baah (2024) show that incorporating household economies of scale substantially changes the identification of who is poor and that the largest effects are in regions where the households are the largest.

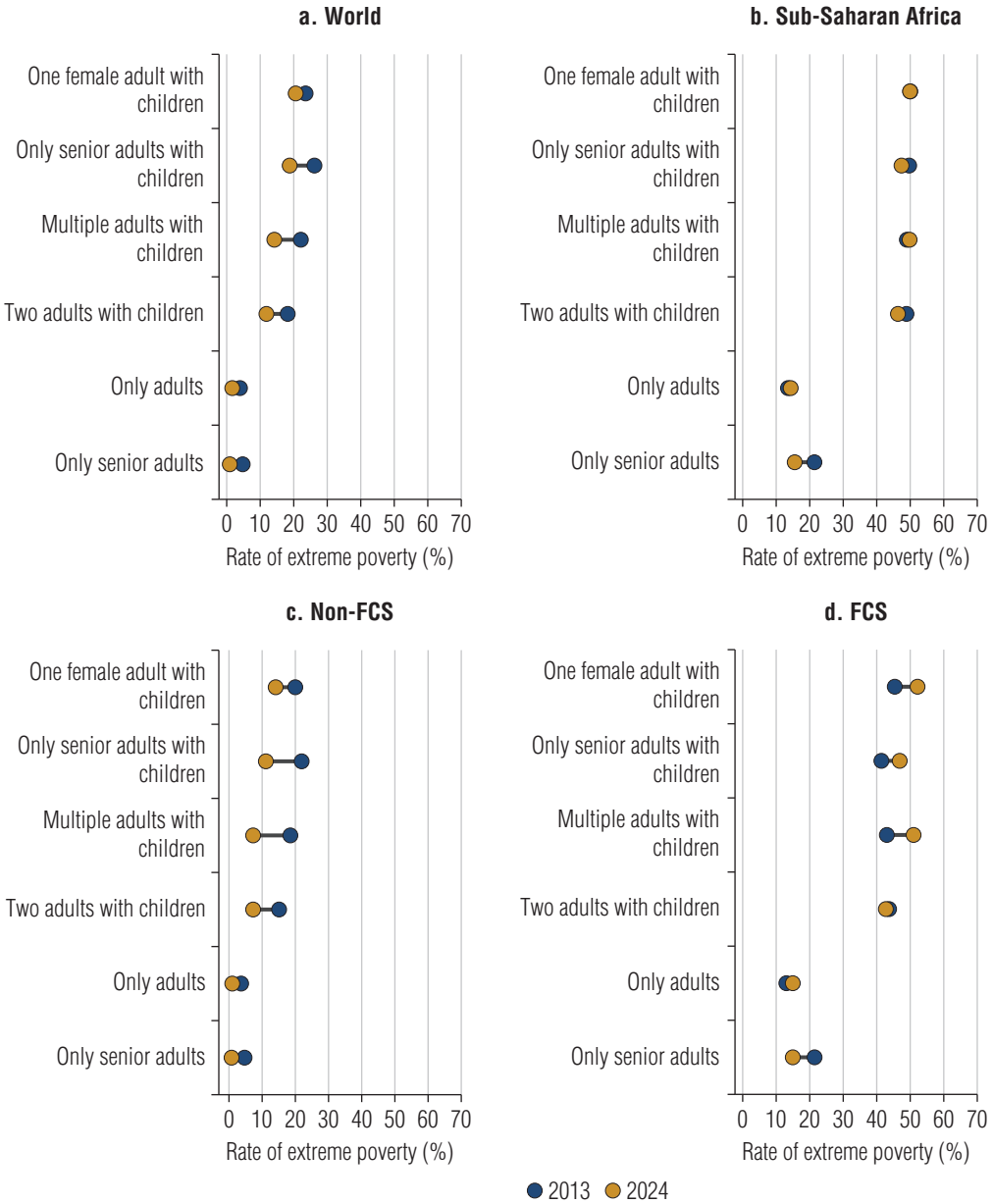
Trends in Sub-Saharan Africa differ slightly from the global pattern. There, households with children exhibit broadly similar poverty rates across household types, ranging from 46 percent to 50 percent in 2024, and barely changed over the preceding decade (refer to figure 1.14, panel b). The trends were mixed among households without children. Poverty among adult-only households was steady at near 14 percent, whereas rates among senior-only households without children fell from 21 percent to 16 percent.

The conflict and fragility dimension reinforces the diverging progress. In non-FCS economies, poverty rates declined substantially between 2013 and 2024 across all household types (refer to figure 1.14, panel c). In FCS economies, by contrast, poverty rates rose among most household types with children (refer to figure 1.14, panel d). The increases were largest among households with one woman adult and children, in which poverty rose from 45 percent to 52 percent, and among multiple-adult households with children, from 43 to 51 percent. Households in which senior adults alone care for children also experienced a substantial rise, from 41 percent to 47 percent, whereas poverty in two-adult households with children was steady at 44 percent. In FCS economies, poverty among senior-only households without children, a category with few households, showed a substantive decline. As a result, household types with children in FCS economies now face poverty rates roughly four to seven times the rates in non-FCS economies.

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FIGURE 1.14

Households with children face poverty rates four to seven times higher in FCS economies than elsewhere, and the gap widened in 2013–24



Source: Global Monitoring Database (version September 2026), internal database, World Bank.

Note: The figure reports poverty rates for the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms). The analysis uses data that are aligned with 2013 and 2024 (refer to annex 1A). Households are grouped into six types following De la Flor Giuffra et al. (2025). Economies are classified as in a fragile and conflict-affected situation (FCS) based on data for 2024. Child = ages 0–17. Youth = ages 15–24. Adult = ages 25–64. Senior = ages 65+.

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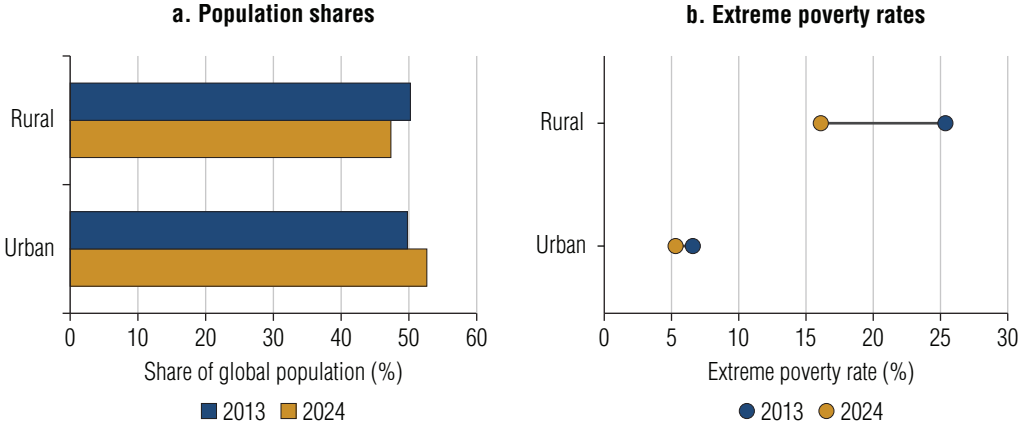
Subnational disparities reveal persistent pockets of extreme poverty

Although more people are now living in urban areas than in rural areas, poverty remains an overwhelmingly rural phenomenon (refer to figure 1.15). In 2024, 16 percent of rural residents were living in extreme poverty, compared with 5 percent of urban residents, a ratio of more than three to one. Both rates fell between 2013 and 2024, from 25 percent and 7 percent, respectively, but the gap remains wide. As a result, three-quarters of the global poor today reside in rural areas.

However, because of increasing urbanization, the share of poor people living in urban areas is expanding globally. In Sub-Saharan Africa, the share rose from 18 percent in 2013 to 26 percent in 2024, and elsewhere, from 22 percent to 28 percent. The urbanization of poverty reflects changes within regions—urbanization is advancing more quickly than the reduction of urban poverty—rather than the geographic shift of poverty toward Sub-Saharan Africa (refer to annex 1B, figure 1B.4, panel b).

This rural-urban disparity, however, is only the first layer of spatial concentration. Subnational poverty estimates reveal even sharper disparities within economies and regions (refer to figure 1.16 and annex 1B, figure 1B.5).[14] In Sub-Saharan Africa, national averages mask enormous within-economy heterogeneity. In Nigeria, subregional rates range from 8 percent to 80 percent, and, in Kenya, from 5 percent to 85 percent, illustrating how much regions within an economy can differ. In the Democratic Republic of Congo, by contrast, poverty is pervasive. Even the least-poor province has an extreme poverty rate of nearly 50 percent, and, in most provinces, the rate exceeds 90 percent.

FIGURE 1.15
Extreme poverty rates are higher in rural areas

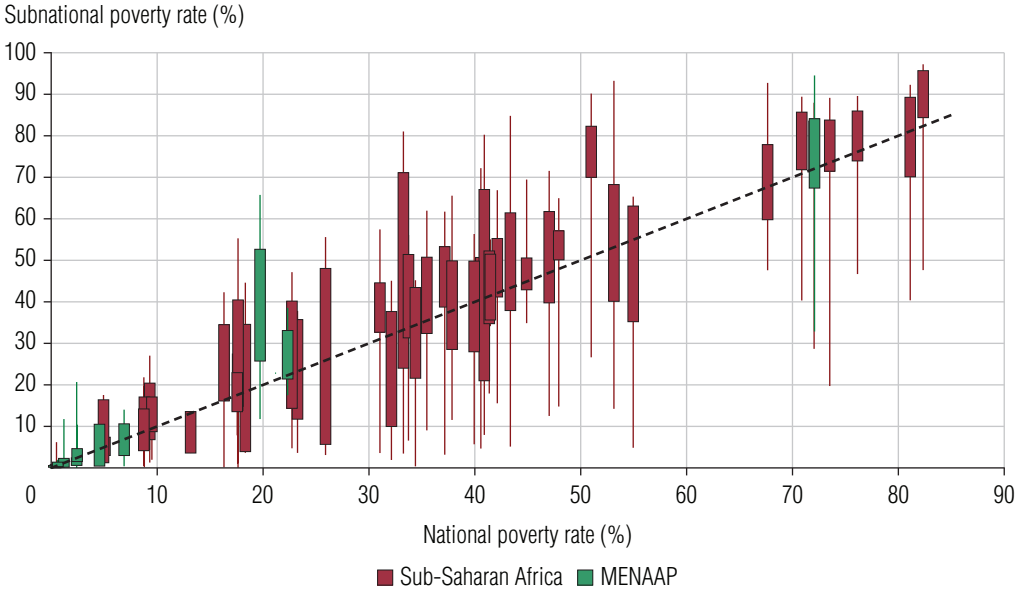


Source: Global Monitoring Database (version September 2026), internal database, World Bank.
Note: Poverty rates are reported for the $3.00-a-person-a-day poverty lines (in 2021 purchasing power parity terms). The analysis uses data that are aligned with 2013 and 2024 (refer to annex 1A). The data follow economy-specific definitions of urban areas and urban residence.

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FIGURE 1.16

Subnational poverty rates vary widely in MENAAP and Sub-Saharan Africa, 2024



Sources: World Bank calculations based on data from the Global Subnational Poverty Atlas (version April 2026), World Bank, https://datacatalog.worldbank.org/search/dataset/0042041/global-subnational-poverty-atlas-gsap; Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.
Note: Each vertical line in the figure represents an individual economy. Poverty rates are reported for the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms). The analysis uses data that are aligned with 2024 (refer to annex 1A). The thicker column boxes depict the range between the first and third quartile. The lower end of the vertical line represents the 10th percentile, and the upper end represents the 90th percentile. MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

The East Asia and Pacific region and the Latin America and Caribbean region also display considerable within-region heterogeneity (refer to annex 1B, figure 1B.5). Although the median poverty rates there are modest (4 percent and 3 percent, respectively), both regions include subregions with rates comparable with those in Sub-Saharan Africa, about 60 percent or higher in parts of Haiti, the Solomon Islands, and Timor-Leste. South Asia exhibits a more compressed distribution. Poverty rates in most subregions are clustered below 10 percent. In Europe and Central Asia and in North America, rates are uniformly low. Medians are below 1 percent, and there are few outliers, except in Central Asia.

Subnational data reveal diverging trajectories that mirror global patterns of uneven progress. The Kyrgyz Republic and the Philippines exemplify successful broad-based poverty reduction. In the Kyrgyz Republic, nearly all regions experienced dramatic declines in poverty in 2015–23 (refer to map 1.1, panel a). Rates fell to single digits in regions that had previously shown poverty rates exceeding 40 percent, and several regions nearly eliminated extreme poverty. The Philippines showed a similar pattern. Poverty rates declined throughout the country in

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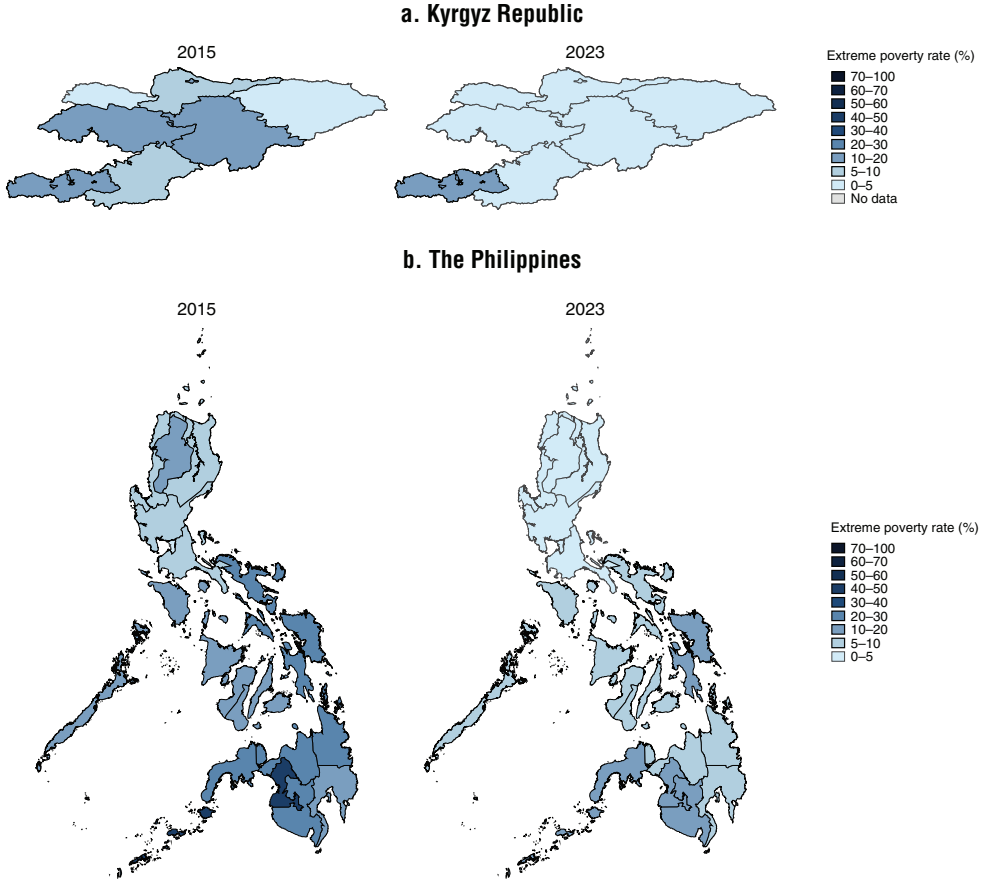
2015–23, though pockets of higher poverty persisted, especially in the south (refer to map 1.1, panel b).

Nigeria stands in contrast to these success stories (refer to map 1.1, panel c). Between 2018 and 2022, subnational poverty rates showed little improvement in the country. Though the gap was only four years, poverty rates worsened considerably in many states. The rates continued to climb in 2022 in the north, where poverty already exceeded 50 percent, and several states registered rates above 70 percent or 80 percent. This stagnation illustrates why Nigeria now hosts the largest population of the extreme poor globally.

Guatemala also presents a more concerning picture of stagnation and reversal (refer to map 1.1, panel d). Between 2014 and 2023, the extreme poverty rate rose substantially in several departments, and only a handful achieved meaningful reductions. This mixed performance highlights that progress can stall even in middle-income economies.

MAP 1.1

Subnational poverty trends vary widely, ranging from broad-based declines in the Kyrgyz Republic and the Philippines to stagnation or reversal in Guatemala and Nigeria

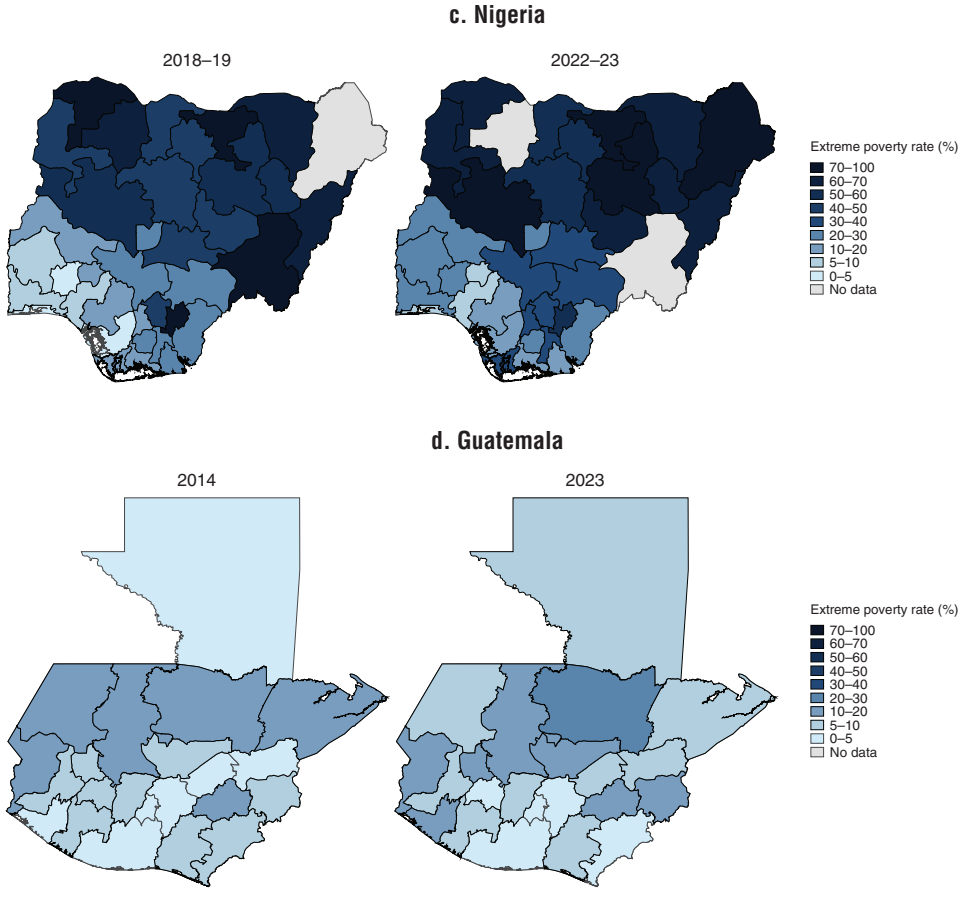


(continued)

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MAP 1.1

Subnational poverty trends vary widely, ranging from broad-based declines in the Kyrgyz Republic and the Philippines to stagnation or reversal in Guatemala and Nigeria *(continued)*



Source: World Bank calculations based on data from the Subnational Poverty and Inequality Database (version October 2025), World Bank, https://datacatalog.worldbank.org/search/dataset/0064796/subnational-poverty-and-inequality-database-spid.

Note: Poverty rates are reported for the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms). This line does not necessarily reflect the poverty line typically used at the country level. Welfare aggregates are comparable in all economies between the two years depicted. Gray shading indicates regions in which data quality is insufficient for analysis. Both income and consumption data are available for the Philippines. Income data are used to remain consistent with national reporting conventions. The subnational estimates in the Subnational Poverty and Inequality Database directly use the available household surveys (for example, NLSS 2018/19 and 2022/23 in the case of Nigeria). Given survey availability, periods differ across countries.

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Poverty extends beyond absolute welfare thresholds

Poverty can be described along other dimensions besides poverty thresholds set according to monetary measures of welfare relying on consumption or income. Deprivation can be defined by considering a cutoff determined using basic needs, and it can be defined in relative terms through a comparison among peers. Measurement along nonmonetary dimensions can be useful and revealing.

The $3.00 international poverty line measures deprivation with respect to the most basic needs as defined across low-income economies. As an economy's income level increases, the perception of the composition of these basic needs may evolve (Herforth et al. 2020; Jolliffe and Prydz 2016; World Bank 2024a). Measurement might shift to the application of relative poverty lines that establish the poverty threshold not only according to the requirements to satisfy basic needs, but typically relative to the average level of income or consumption.

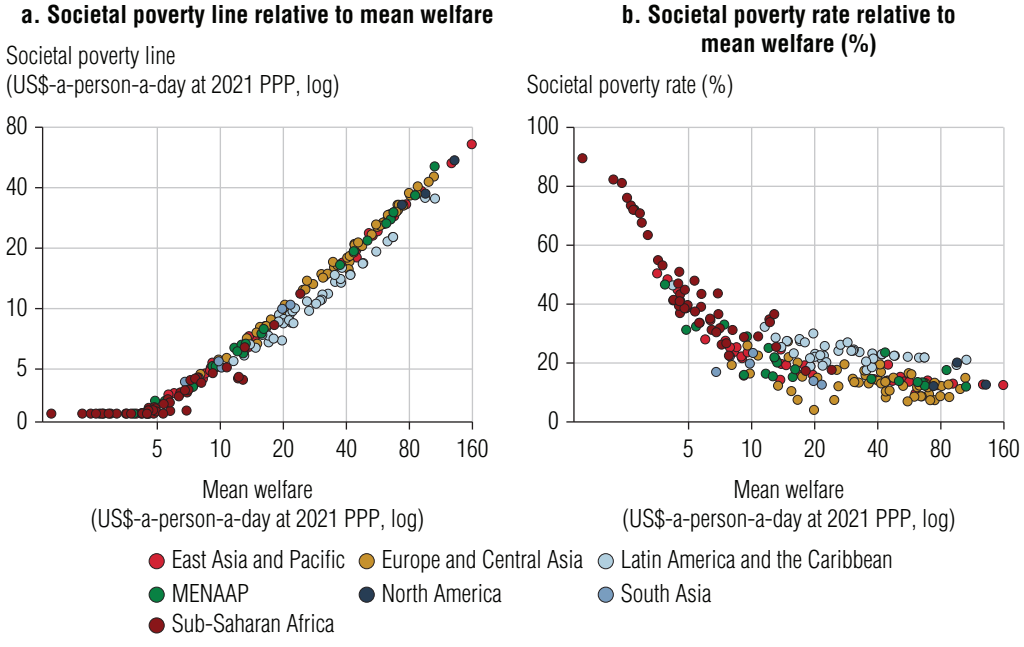
The societal poverty line, a relative measure of poverty, was developed to capture the shifting nature of deprivation across income levels. Following the recommendations of the Atkinson Commission on Global Poverty (World Bank 2017), the societal poverty line varies according to the living standards in an economy. It is set equal to $1.30, plus half the median consumption or income in the economy, with a floor at the $3.00 international poverty line (Foster et al. 2025) (refer to annex 1A). This (weakly) relative approach reflects a recognition that poverty partly involves exclusion from a normal life in a given society. It also allows the poverty line to be specific to an economy. Globally, the societal poverty line varies with average income in a way that approximately corresponds to the way national poverty lines vary with average income across countries (Foster et al. 2025; Jolliffe and Prydz 2021).

Regional patterns in societal poverty, as measured by the societal poverty line, mirror the patterns observed in extreme poverty rates. Although the measure is only weakly relative (refer to figure 1.17, panel a), economies with high societal poverty lines tend to exhibit lower societal poverty rates. Sub-Saharan Africa accounts for most economies with high societal poverty rates, consistent with the concentration of extreme poverty in the region (refer to figure 1.17, panel b). Higher-income economies typically exhibit lower societal poverty rates, despite their higher societal poverty lines. These comparisons depend on the level of inequality in an economy and, in particular, the concentration of people at the bottom tail (refer to chapter 2).

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FIGURE 1.17

Societal poverty is high in economies with lower societal poverty lines



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: MENAAP = Middle East, North Africa, Afghanistan, and Pakistan; PPP = purchasing power parity.

Multidimensional deprivations add depth to the poverty profile

The World Bank's absolute and societal poverty lines rely on the measurement of household monetary welfare through the level of consumption or income. The World Bank Multidimensional Poverty Measure (MPM), by contrast, incorporates measures of nonmonetary deprivation (World Bank 2026e). In addition to extreme poverty, which is measured in monetary terms, the MPM includes deprivations in education and access to basic infrastructure services (Lara Ibarra et al. 2026) (refer to annex 1A). (The components of the MPM are among the indicators discussed in chapters 3 and 4.)

The MPM defines a household that is deprived along at least one of these three dimensions—monetary welfare, education, and access to infrastructure—as multidimensionally poor. Any person identified as poor using the international poverty line is also identified as poor using the MPM. In education, household deprivation is defined according to whether any children up to the age of grade 8 in the household is not enrolled in school or whether no adult in the household has completed primary education. In the case of infrastructure, household

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deprivation is defined according to whether a household lacks access to one or more of the following: clean drinking water, sanitation, or electricity.

To calculate the measure, the MPM requires more data than the monetary poverty measure. Data on the MPM are therefore available only for a smaller sample of economies. If economies with information available for any year after the onset of the COVID-19 pandemic are considered (2020 or more recently), the MPM covered 103 economies as of September 2026. Across these 103 economies, 16.7 percent have been identified as multidimensionally poor, compared with 11.3 percent using the international poverty line of $3.00-a-person-a-day (refer to table 1.1).

Extreme poverty rates generally coincide with deprivations in other dimensions (World Bank 2026e) (refer to figure 1.18). There may be wide variations, however, whereby economies associated with high monetary extreme poverty rates nonetheless exhibit low rates of nonmonetary deprivation.

TABLE 1.1

Poverty beyond monetary definitions, by region, circa 2023

Region	Number of economies	Extreme poverty (%)	MPM (%)	Population covered (millions)	Coverage (%)
East Asia and Pacific	13	3.4	3.8	840.4	36.2
Europe and Central Asia	36	0.6	2.2	747.9	80.9
Latin America and the Caribbean	18	3.9	4.5	593.3	92.4
Middle East, North Africa, Afghanistan, and Pakistan	8	12.8	15.1	485.9	69.0
North America	1	1.2	1.4	336.8	89.4
South Asia	4	5.3	16.4	1,625.3	97.8
Sub-Saharan Africa	23	47.0	56.7	887.8	71.7
World	103	11.3	16.7	5,517.4	70.1

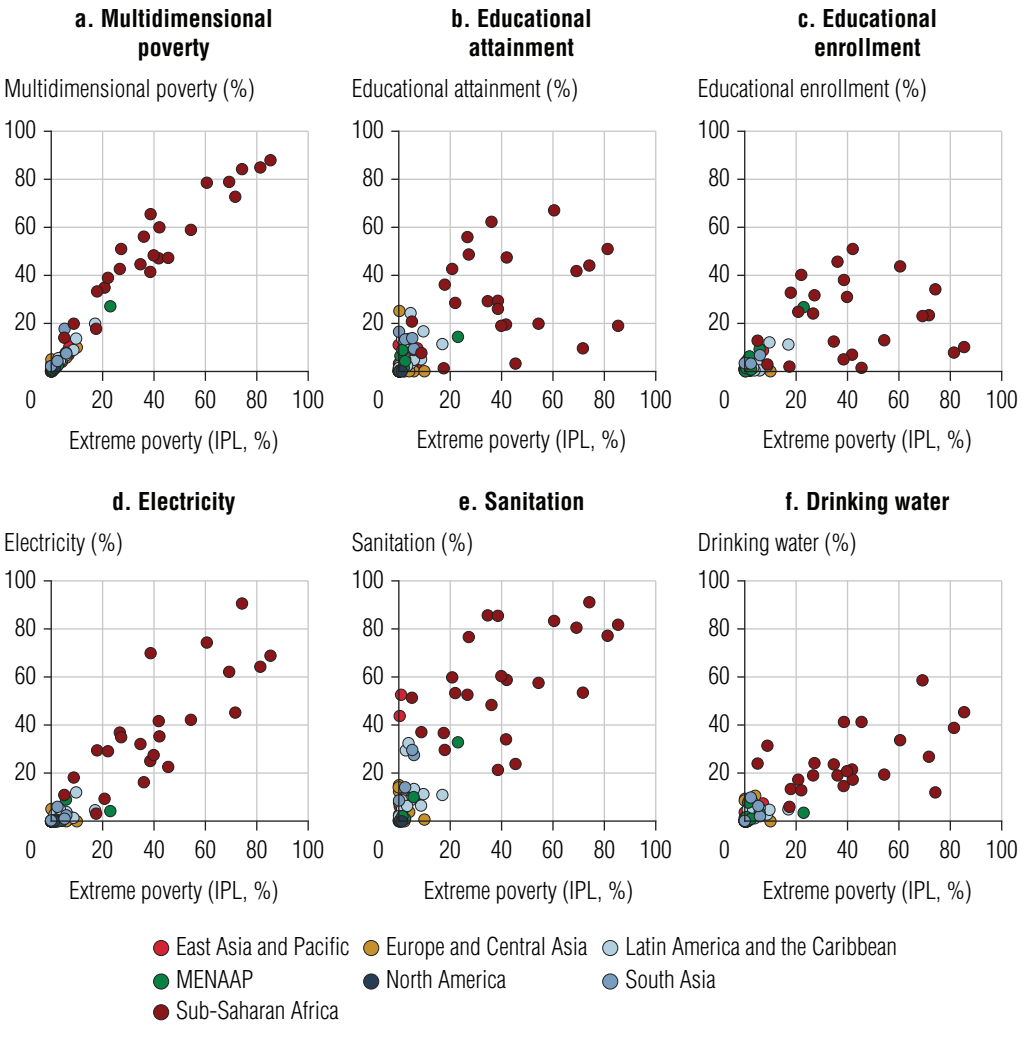
Source: World Bank calculations based on data from the Multidimensional Poverty Measure database (September 2026), World Bank, https://www.worldbank.org/en/topic/poverty/brief/multidimensional-poverty-measure.

Note: The table includes only economies on which data are available for at least one year in 2020–26. The international poverty line measures poverty rates at $3.00-a-person-a-day (in 2021 purchasing power parity terms). The Multidimensional Poverty Measure (MPM) expresses rates of multidimensional poverty. An economy is considered covered (that is, data are available on the rate) in a particular reference year if a nationally representative survey has been conducted within three years on either side of the reference year. For the region highlighted in gray, population coverage is below 50 percent, which is the threshold used for coverage throughout the report. Columns may not sum to the exact total of the constituent data elements because of rounding.

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FIGURE 1.18

Extreme poverty often, but not always, tracks with multidimensional deprivation



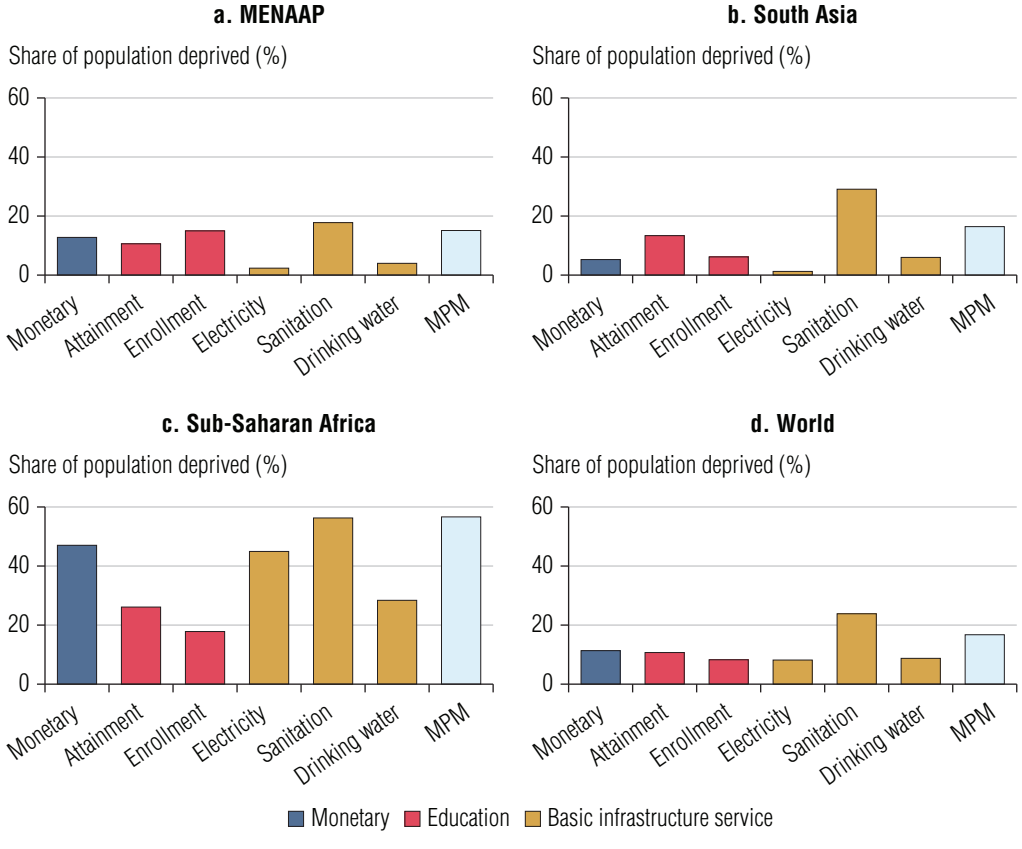
Source: World Bank calculations based on data from the Multidimensional Poverty Measure database (September 2026), World Bank, https://www.worldbank.org/en/topic/poverty/brief/multidimensional-poverty-measure.
Note: Each dot in the figure represents an individual economy. The rate of multidimensional poverty is the share of the population defined as multidimensionally poor. Panels b–f show the share of the population in each economy deprived along one of the five indicators used in the Multidimensional Poverty Measure (MPM). Because the MPM is estimated for all economies that are covered by at least one indicator within each dimension, the number of economies in each of the six panels varies. The lowest number of economies covered by data refers to educational enrollment (available on 72 economies) (Lara Ibarra et al. 2026). The extreme poverty rate is based on the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms). By definition, the MPM cannot be lower than the extreme poverty rate. IPL = international poverty line; MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

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In some regions, a significant share of households are deprived according to the nonmonetary measures, and the MPM rate may be much higher than the extreme poverty rate. Three times more households are classified as MPM poor in South Asia (where monetary poverty has fallen to relatively low levels), whereas the differences are less stark in Sub-Saharan Africa, and the Middle East, North Africa, Afghanistan, and Pakistan region (refer to figure 1.19). In South Asia, higher MPM rates are driven largely by deprivations in education and sanitation.

FIGURE 1.19

Nonmonetary deprivations provide a broader view of poverty



Source: World Bank calculations based on data from the Multidimensional Poverty Measure database (September 2026), World Bank, https://www.worldbank.org/en/topic/poverty/brief/multidimensional-poverty-measure.

Note: The figure shows regional average deprivations across the three dimensions of the Multidimensional Poverty Measure (MPM) in regions in which the MPM is above 5 percent, circa 2023. The global profile is included for comparison. Each color represents one of the three dimensions of the MPM. MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

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The ongoing mission to end extreme poverty

This chapter tracks the progress and setbacks on the path to ending extreme poverty. After falling steadily for three decades, from 43 percent in 1990 to 11 percent in 2020, and then bouncing back after the COVID-19 pandemic, the extreme poverty rate has stalled. In 2026, 811 million people—1 in 10 globally—were living in extreme poverty, defined as living on less than the international poverty line of $3.00-a-person-a-day, expressed in 2021 PPP terms. This rate has remained essentially unchanged over the past six years (refer to figure 1.1). However, extreme poverty has become increasingly concentrated geographically. More than half the extreme poor globally are living in only 9 economies, and three-quarters in 20 economies. Of the nine economies, six are in Sub-Saharan Africa, where the extreme poverty rate has remained near 44 percent since 2014. Only in 2026 was the extreme poverty rate for Sub-Saharan Africa projected to return to its prepandemic level, while the rate for MENAAP remained above its prepandemic level. Fragility and conflict are additional key defining features of global poverty, driven by two factors: more high-poverty economies became fragile, and extreme poverty fell more quickly in non-FCS economies.

The global poor are disproportionately young, rural, and less educated. Although the extreme poverty rate declined across most demographic groups between 2013 and 2023, progress was slowest among households caring for children, but without two working-age adults. The MPM reinforces the awareness of the severity of these patterns and suggests that the challenges are even more daunting. Across 103 economies, 16.7 percent of people are multidimensionally poor.

Delivering more rapid and more inclusive economic growth is imperative to bringing poverty reduction back on track. This growth is most needed in contexts in which peace and stability are lacking, making growth more difficult to achieve. Rapid population growth presents an additional challenge in high-poverty economies, particularly if economic growth has been insufficient to generate sustained gains in income per capita.

Annex 1A. Data and methodology

Poverty and Inequality Platform data and the methodology of global poverty measurement

The data used to measure poverty in this report are taken from the World Bank's Poverty and Inequality Platform (PIP), which aggregates welfare data from household surveys. The platform includes data from more than 2,500 household surveys in 172 economies representing

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97 percent of the world's population. Statistics from most of the surveys are included in the World Bank Global Monitoring Database, which is described below. This report relies on 2,588 survey-years of data, or an additional 204 surveys relative to the data available for the *Poverty, Prosperity, and Planet Report 2024* (World Bank 2024a). This increase in the coverage of survey data has made reporting possible on global poverty up to 2024, a two-year lag from 2026, the publication year of this report. The nowcasts presented for 2025 and 2026 require additional assumptions, as explained below.

The report measures welfare using either household consumption or income data depending on which type of data is available for each economy. Slightly more than half the economies on which the platform reports rely on consumption data. Economies in Latin America and the Caribbean and the high-income economies account for the majority of the economies that rely on household income data. An extensive literature explores and compares consumption and income measures in household surveys and the respective benefits and limitations (World Bank 2016).

Survey data are converted to internationally comparable welfare measures using 2021 PPP dollars (refer to box 1.1). As of the June 2025 update, PIP uses the 2021 PPPs, replacing the 2017 PPPs (Alfani et al. 2025; Foster et al. 2025). The global poverty lines have been updated accordingly. The international (extreme) poverty line is $3.00-a-person-a-day. The $4.20- and $8.30-a-person-a-day lines reflect the median national poverty lines of lower-middle-income and upper-middle-income countries, respectively (Foster et al. 2025). Welfare values of less than $0.28-a-person-a-day (in 2021 PPP terms) have been replaced with $0.28 because of the significant measurement errors at such low consumption or income levels (Yonzan et al. 2026).

For economies on which no survey data are available for a particular year, PIP includes estimates of poverty rates on the basis of the most recent available survey data. If survey data are available through the platform only prior to a particular reference year, the most recent welfare distribution is extrapolated forward using growth rates from national accounts, either real GDP per capita or real household final consumption expenditure per capita. Because of its close conceptual relation with the welfare aggregate, the latter, if available, is generally the preferred national accounts variable in PIP. However, for low- and lower-middle-income economies, GDP per capita is preferred because household final consumption expenditure per capita is often calculated as the residual component of GDP in the case of economies with low statistical capacity (Mahler and Newhouse 2024).

Not all economic growth feeds into growth in household income. Pass-through rates between national accounts data and household welfare are assumed in PIP based on estimations of Mahler et al. (2022) of 0.7 if the last household survey in an economy uses a consumption aggregate and 1.0 if the last survey uses an income aggregate (Mahler and Newhouse 2024). The extrapolation is distribution neutral, that is, no change in inequality is assumed.

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For the years between two surveys, poverty is interpolated in PIP on the basis of the data from the two surveys using data from national accounts, while assuming the same pass-through rates. The World Bank (2026a) provides more technical details on the extrapolation and interpolation methods.

Although PIP includes data from a large number of surveys, poverty cannot be estimated directly in the case of several economies (less than 3 percent of the global population) because of the lack of survey data, unreliable purchasing power parities, missing national accounts data, and so on. For these economies, an imputation approach developed by Mahler et al. (2026) is applied. The approach relies on a small set of variables on which data are widely available—GDP per capita, under-5 mortality rates, life expectancy, rural population share, income group, and region—to predict full welfare distributions. The model used in this case has two tiers. The choice of the tier to be used in the case of a particular economy depends on whether data on GDP per capita are available. The distributions predicted by the model are used on the platform solely to include data on the economy in regional and global aggregates. The resulting poverty rates are not reported individually on the platform's website because of the large possible errors involved in any imputation model. With the September 2025 update to the platform, this approach replaced the previous practice of assigning any economy on which data are missing the population-weighted average poverty rate for the region in which the economy is located.

Regional poverty estimates for a particular reference year are presented in PIP only if survey data are available for that year on at least 50 percent of the regional population. A global poverty estimate for a particular reference year is reported in PIP only if survey data are available that cover at least 50 percent of the world's population and at least 50 percent of the population of low- and lower-middle-income economies in that year. An economy is considered covered (that is, relevant data are available) in a particular reference year if a nationally representative survey has been conducted within three years on either side of the reference year. As an exception, however, surveys conducted before the COVID-19 pandemic are not counted in PIP for coverage in 2020 or later. Likewise, surveys conducted after the onset of the COVID-19 pandemic are not counted for coverage in 2020 or earlier.

Alongside the inclusion of new survey data on India, the survey source used for India in recent years has also changed relative to the previous edition of the report. Estimates previously based on data from the Consumer Pyramids Household Survey, conducted by a private survey firm, which covered the years 2015 to 2021, have been removed from PIP because of concerns regarding comparability with data from the newly incorporated Household Consumption Expenditure Survey released by the government of India. As a result, survey data on India are no longer available on the platform for 2015–21. This means that the coverage of South Asia in 2015–19 and globally for the reference year 2019 has been lost.

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The societal poverty line is defined for an economy as max ($3.00, $1.30 + 0.5 × *median*), which means that it is the greater of either $3.00-a-person-a-day (that is, the international poverty line) or $1.30, plus half the median consumption or income of the economy (depending on the type of data used in the economy to calculate welfare measures). For economies with sufficiently high median consumption or income, this is a relative poverty measure, reflecting the fact that national poverty lines rise as economies grow. The societal poverty line approximately reflects how national poverty lines vary with average income around the world (Foster et al. 2025; Jolliffe and Prydz 2021).

The Multidimensional Poverty Measure indicates the share of a population that is defined as multidimensionally poor based on the three separate dimensions of poverty it encompasses. Each of the three dimensions of poverty covered weighs equally (one-third) in the final measure, and each indicator within a dimension of poverty weighs equally within that dimension. Monetary poverty, based on one indicator (the $3.00-a-person-a-day international poverty line), accounts for one-third of the total score. Education poverty also contributes one-third. Each of the two education indicators (attainment and enrollment) account for one-sixth of the total score. Basic infrastructure services contribute the final third. Each of the three associated infrastructure indicators (electricity, sanitation, and water) account for one-ninth of the total score. A household is identified as multidimensionally poor if it is deprived in indicators whose weights sum to one-third or more of the total possible score across all dimensions.

Projection methods

Sufficient survey data are currently available in the Poverty and Inequality Platform to support data coverage through 2024. The report uses projections to generate poverty numbers for 2025 and beyond. In this report, "nowcasting" refers to the method used to generate data for 2025 and 2026, and "forecasting" refers to the corresponding method for subsequent years, that is, the future at the time of publication of the data. Poverty is nowcast and forecast using growth rates of GDP per capita, computed using methods similar to those employed in earlier years in cases in which no survey data were available for a particular economy. Projections based on per capita GDP growth predict poverty nearly as well as projections using a combination of 1,000 economy-level development outcome indicators (Mahler et al. 2022).

Projecting poverty rates on the basis of GDP per capita growth rates involves making two key assumptions. First, as in interpolation, distribution neutrality is assumed, meaning that all households in an economy benefit equally from economic growth in the economy. Each household's welfare is scaled by the GDP per capita growth rate, and, so, there is no change in inequality. Second, the report applies the same pass-through rates to the growth rate of an economy's GDP per capita as in the imputation of poverty rates in the previous

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subsection: 0.7 if the most recent survey available for the economy has consumption data, and 1.0 if it has income data. The report applies the methodology used to nowcast and forecast consistently across all economies to ensure comparability; so, economy-specific adjustments are not made. Alternative nowcasts using a range of methods with assumptions specific to each economy are available in the World Bank's *Macro Poverty Outlook* (World Bank 2025c).

To analyze the potential impact of the conflict in the Middle East, the report also includes estimates that relax the assumption of distribution neutrality (refer to box 1.2). In particular, sectoral growth rates and differential spending patterns are used to model household-specific income and price shocks. Kimura et al. (2026) provide more details.

To extend the series through 2030, growth rates for GDP per capita are taken from *Global Economic Prospects, June 2026* (World Bank 2026c), supplemented with the April 2026 *Macro Poverty Outlook* (World Bank 2026d) or the April 2026 *World Economic Outlook* (IMF 2026). If growth data are unavailable, average annual historical GDP per capita growth rates (over 2015–24) presented in the World Development Indicators of the World Bank are used.

The Global Monitoring Database

The Global Monitoring Database is the World Bank repository of nationally representative household surveys conducted by national statistical offices. These surveys all include information on welfare (whether household income or consumption) and household size (to adjust to per capita levels). The database is the main source of data for the poverty and inequality estimates published in PIP. The database also includes other harmonized variables, such as the age, sex, and education levels of members, the rural or urban location of households, and household access to basic infrastructure services (for example, electricity and improved sanitation).

Because survey instruments differ across economies, data are harmonized to the degree possible. Researchers can access the estimates through PIP, and they can access microdata through PIP's Statistics Online tool as long as agreements permit data sharing.[15] Both the database and platform are updated periodically. This report uses the latest version of data available (September 2026).

The Global Subnational Poverty Atlas

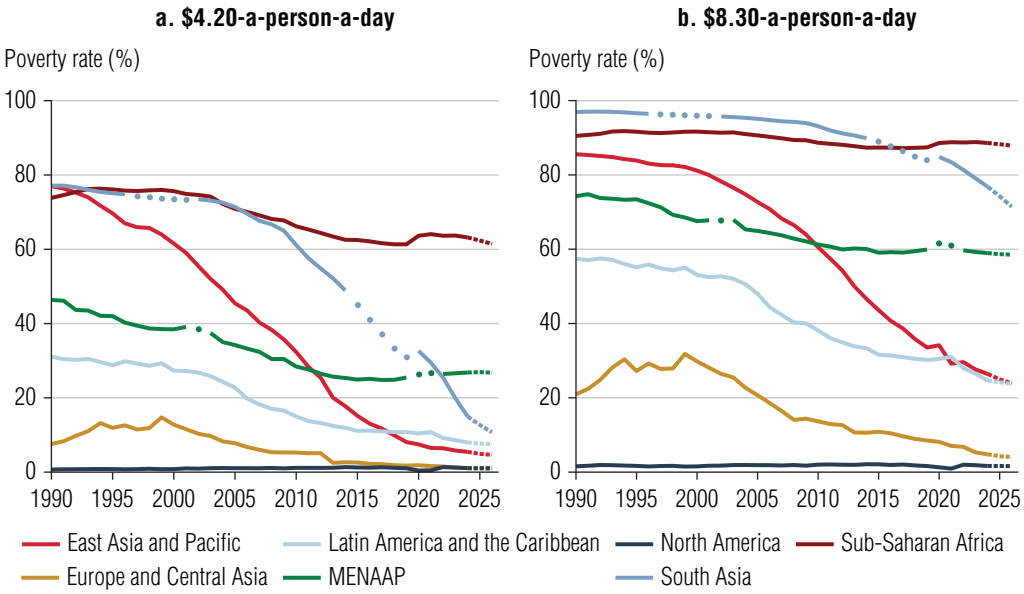
The World Bank's Global Subnational Poverty Atlas combines household survey data in the Global Monitoring Database and data on administrative boundaries to provide visualizations of extreme poverty at the subnational level. The Atlas includes custom shapefiles that can be linked to the subnational geographic units in the database. These shapefiles follow a harmonized spatial hierarchy across economies consisting of four administrative levels, from the whole economy to district and finer units.

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Annex 1B. Additional figures

FIGURE 1B.1

Higher poverty lines reveal gaps in eradicating poverty in several regions



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

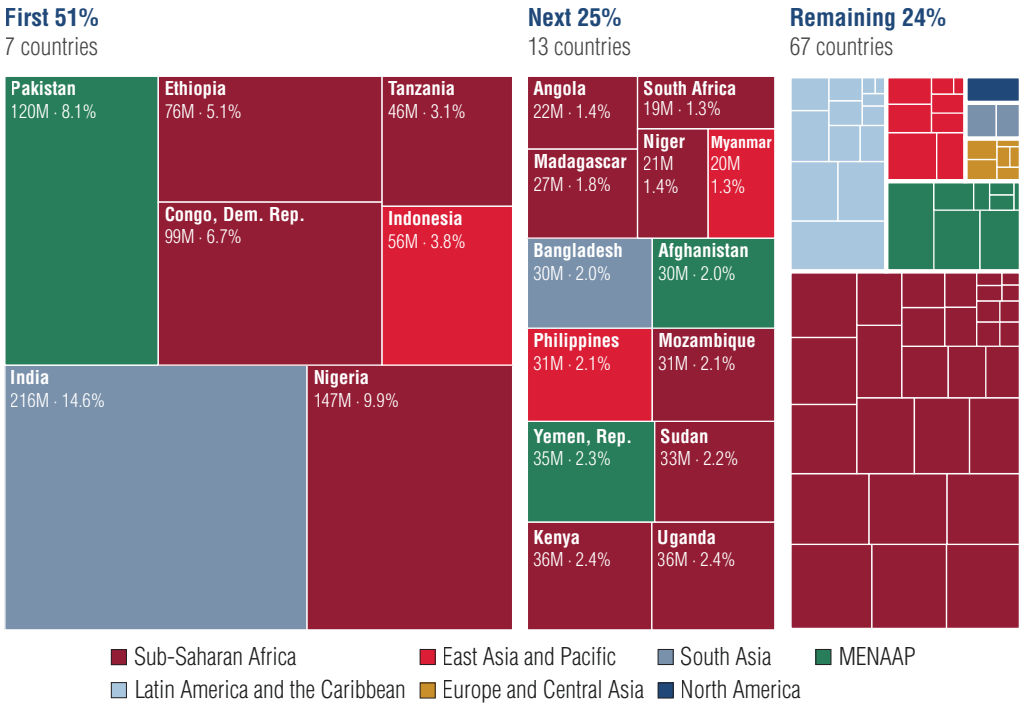
Note: The figure reports poverty rates for the $4.20- and $8.30-a-person-a-day poverty lines (in 2021 purchasing power parity terms). Dots within lines indicate that less than 50 percent of the population in the region depicted was covered by a survey in or around the associated year. Dashed portions of lines indicate that values are nowcasts (refer to annex 1A). MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

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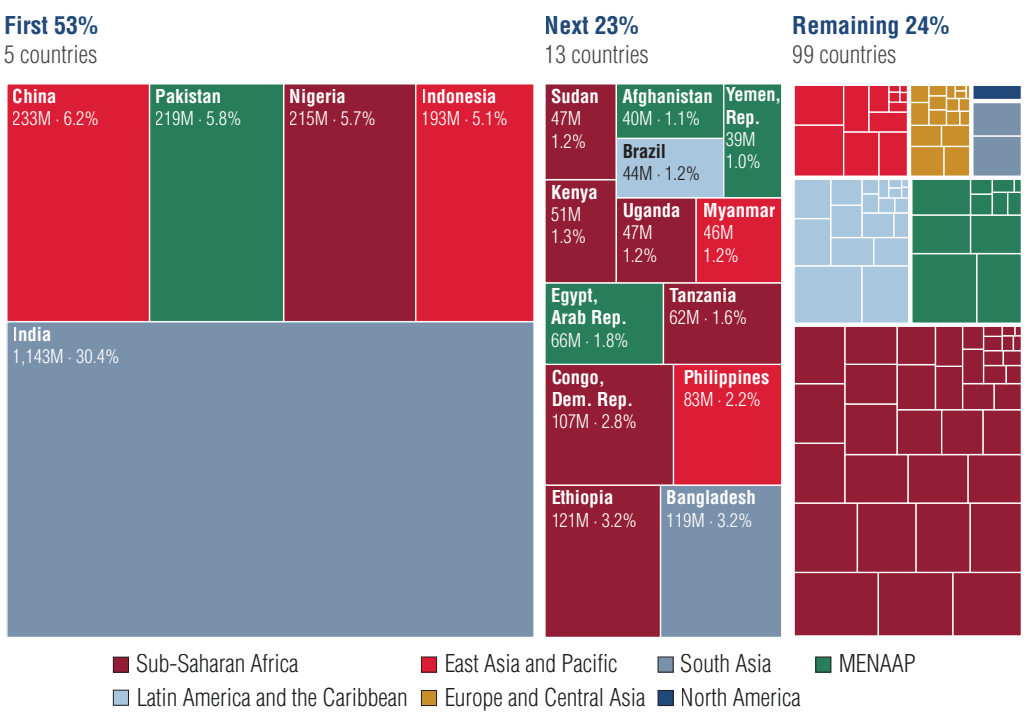
FIGURE 1B.2

The distribution of the number of poor shifts at higher poverty lines

a. $4.20-a-person-a-day, 2024



b. $8.30-a-person-a-day, 2024



(continued)

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FIGURE 1B.2

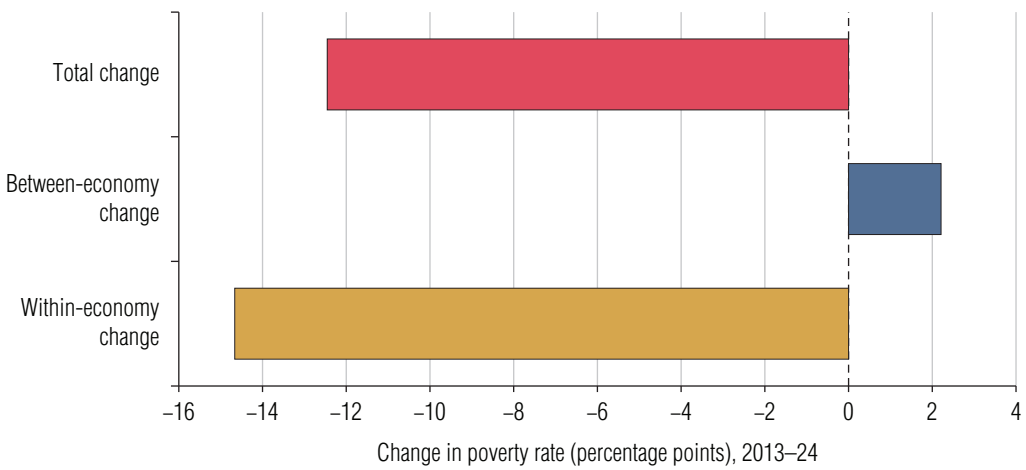
The distribution of the number of poor shifts at higher poverty lines *(continued)*

Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: The figure reports the number of people living in poverty according to the $4.20- and $8.30-a-person-a-day poverty lines (in 2021 purchasing power parity terms) and the global share of poverty. For some economies, no survey is available (for example, Afghanistan), and estimates are based on the methodology described by Mahler et al. (2026). The Philippines collects survey data on both the income and the consumption expenditure of households. World Bank aggregates choose consumption over income if both are available. If the income-based estimates were used instead, the number of people living in poverty in the Philippines would be 19 million (at the $4.20 line) and 67 million (at the $8.30 line) in 2023. MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

FIGURE 1B.3

Within-economy progress drove the decline in extreme poverty among people with no formal education between 2013 and 2024, but was partly offset by a compositional shift



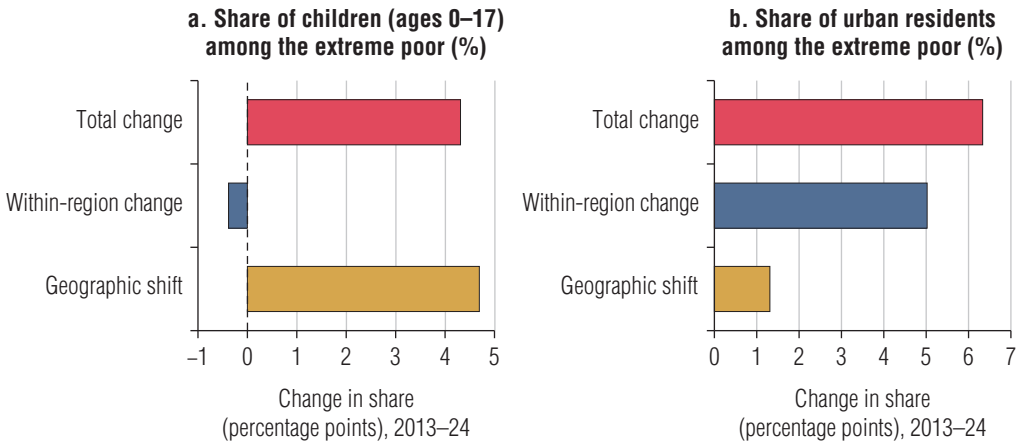
Source: World Bank calculations based on data from the Global Monitoring Database (version September 2026), internal database, World Bank.

Note: The figure decomposes the change in the extreme poverty rate among people with no formal education globally between 2013 and 2024 into two components: a within-economy effect (the change in poverty rates among those with no schooling within each economy, with each economy's share of the global population with no schooling held constant) and a between-economy effect (the change in the distribution of the global population with no schooling across economies, with economy-level poverty rates among the population with no schooling held constant). The decomposition follows a Shapley-symmetric form, evaluating each component at the average of the 2013 and 2024 values. It measures poverty at the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms).

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FIGURE 1B.4

Geographic concentration is driving the increasing share of children among extremely poor people, whereas the urbanization of poverty reflects within-region changes

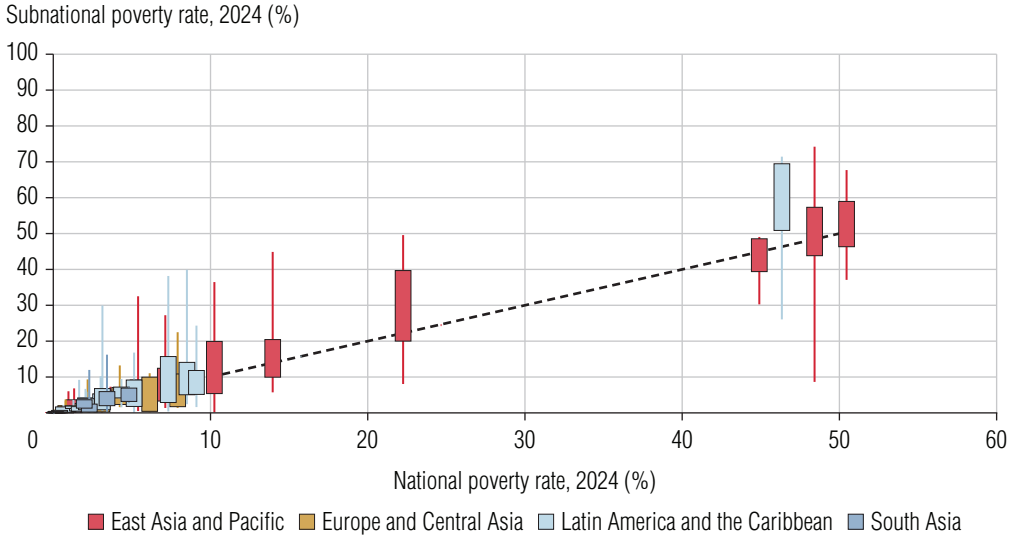


Source: World Bank calculations based on data from the Global Monitoring Database (version September 2026), internal database, World Bank.

Note: The figure decomposes the change in the share of children (ages 0–17) and urban residents among extremely poor people globally between 2013 and 2024 into two components: a geographic-shift effect (the change in each region's share of global poverty, with within-region demographic composition held constant) and a within-region composition effect (the change in the demographic composition within regions, with the regional distribution of poverty held constant). It measures poverty at the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms).

FIGURE 1B.5

Subnational poverty rates are high in some countries in East Asia and Pacific and in Latin America and the Caribbean

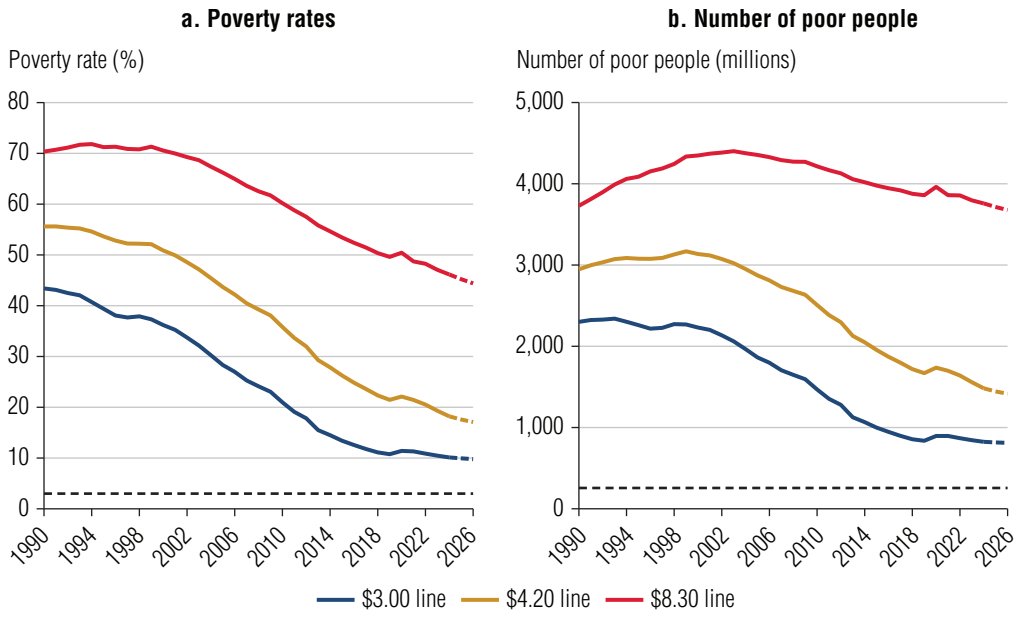


Sources: World Bank calculations based on data from the Global Subnational Poverty Atlas (version April 2026), World Bank, https://datacatalog.worldbank.org/search/dataset/0042041/global-subnational-poverty-atlas-gsap; Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

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FIGURE 1B.6

Extreme poverty reduction has come to a standstill



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: The figure reports poverty rates using 2021 purchasing power parity terms (refer to figure 1.1 for more details). In panel a, the horizontal dashed line is drawn at 3 percent in 2030, which is the World Bank's target for ending extreme poverty. In panel b, the horizontal dashed line is drawn at 256 million, which represents 3 percent of the global population projected for 2030. Data for 2025 and 2026 are nowcasts and are represented by dashed lines in the figure (refer to annex 1A). Values for 2019 are considered projections because survey data in 2019 represent less than 50 percent of the population in low-income and lower-middle-income economies (refer to box 1.4 and annex 1A).

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Annex 1C. Global, regional, and group-specific poverty estimates, 1990–2026

TABLE 1C.1

Percentage of population living in poverty

Region	1990	2000	2010	2019	2020	2021	2022	2023	2024	2025	2026
a. Poverty line: $3.00-a-person-a-day (in 2021 purchasing power parity terms)											
East Asia and Pacific	67	47	19	3	3	3	2	2	2	2	2
Europe and Central Asia	4	8	4	1	1	1	1	1	1	1	1
Latin America and the Caribbean	21	18	8	6	6	6	5	5	4	4	4
MENAAP	34	24	13	12	13	13	13	14	14	15	14
North America	1	1	1	1	0	0	1	1	1	1	1
South Asia	50		30	9	9	8	6	4	3	2	2
Sub-Saharan Africa	62	62	49	44	46	46	46	46	45	44	43
Eastern and Southern Africa		63	52	51	52	52	52	52	51	50	50
Western and Central Africa	61		46	34	37	37	37	37	36	35	34
World	**43**	**36**	**21**	**11**	**11**	**11**	**11**	**10**	**10**	**10**	**10**
Economies affected by FCS			42	39	41	41	41	42	42	41	41
Economies eligible for IDA assistance		53	36	34	36	37	36	36	36	35	35
b. Poverty line: $4.20-a-person-a-day (in 2021 purchasing power parity terms)											
East Asia and Pacific	77	62	32	8	7	7	6	6	5	5	5
Europe and Central Asia	8	13	5	2	2	2	2	1	1	1	1
Latin America and the Caribbean	31	27	15	11	10	11	9	9	8	8	8
MENAAP	46	38	28	25	27	27	26	27	27	27	27
North America	1	1	1	1	0	1	1	1	1	1	1
South Asia	77		61	31	33	29	25	20	15	13	11
Sub-Saharan Africa	74	76	66	61	64	64	64	64	63	62	61
Eastern and Southern Africa		75	67	67	68	69	68	68	68	67	66
Western and Central Africa	75		65	54	57	57	57	57	56	55	54
World	**56**	**51**	**36**	**21**	**22**	**21**	**21**	**19**	**18**	**18**	**17**
Economies affected by FCS			57	54	58	58	58	59	59	58	58
Economies eligible for IDA assistance		75	61	53	55	55	54	54	54	54	53

(continued)

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TABLE 1C.1

Percentage of population living in poverty *(continued)*

Region	1990	2000	2010	2019	2020	2021	2022	2023	2024	2025	2026
c. Poverty line: $8.30-a-person-a-day (in 2021 purchasing power parity terms)											
East Asia and Pacific	86	81	61	34	34	29	30	28	26	25	24
Europe and Central Asia	21	30	14	9	8	7	7	5	5	4	4
Latin America and the Caribbean	57	53	38	30	30	31	28	26	25	24	24
MENAAP	74	68	61	60	62	61	60	59	59	59	59
North America	2	2	2	2	1	1	2	2	2	2	2
South Asia	97		93	84	85	83	81	79	77	74	71
Sub-Saharan Africa	91	92	89	87	89	89	89	89	89	88	88
Eastern and Southern Africa		91	88	89	89	90	89	90	90	89	89
Western and Central Africa	92		90	86	87	88	88	88	87	87	86
World	**70**	**71**	**60**	**50**	**50**	**49**	**48**	**47**	**46**	**45**	**44**
Economies affected by FCS			83	81	84	83	83	84	84	84	84
Economies eligible for IDA assistance		94	90	86	86	86	85	85	85	84	84

Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank https://pip.worldbank.org.

Note: The definitions of *Economies affected by FCS* and *Economies eligible for IDA assistance* are kept fixed across time, using the World Bank fiscal year 2026 classifications. The table does not report poverty estimates for years on which data coverage is insufficient (that is, data cover less than 50 percent of a region's population); missing observations are shown as empty cells. However, poverty estimates are presented for recent years (2019–26) using nowcasting methods, even if data coverage is insufficient. These data are shaded in gray (for example, those for MENAAP in 2020–21 and economies affected by FCS in 2019). Estimates presented for all regions and groups of economies for 2025 and 2026 are based on poverty nowcasts and are also shaded in gray. Refer to annex 1A for details about coverage rules and the methodology for projecting or nowcasting poverty. The regional groupings align with the World Bank's current regional classification and differ from those used in previous editions of the report. FCS = fragile and conflict-affected situations; IDA = International Development Association; MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

TABLE 1C.2

Millions of people living in poverty

Region	1990	2000	2010	2019	2020	2021	2022	2023	2024	2025	2026
a. Poverty line: $3.00-a-person-a-day (in 2021 purchasing power parity terms)											
East Asia and Pacific	1,218	955	417	61	65	62	57	52	47	41	39
Europe and Central Asia	34	66	34	7	8	7	7	6	5	5	5
Latin America and the Caribbean	91	94	50	40	38	41	33	30	28	27	27
MENAAP	131	118	84	86	95	103	105	111	116	121	122
North America	2	2	3	3	1	1	4	4	4	4	4

(continued)

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TABLE 1C.2

Millions of people living in poverty *(continued)*

Region	1990	2000	2010	2019	2020	2021	2022	2023	2024	2025	2026
South Asia	503		439	140	152	129	101	68	43	35	29
Sub-Saharan Africa	321	425	442	500	538	553	561	574	581	584	586
Eastern and Southern Africa		63	256	273	343	364	373	378	387	395	401
Western and Central Africa	129		169	157	174	180	183	186	185	186	185
World	**2,301**	**2,231**	**1,469**	**837**	**896**	**896**	**869**	**845**	**824**	**817**	**811**
Economies affected by FCS			178	323	396	419	425	440	450	456	460
Economies eligible for IDA assistance		1,336	1,002	592	636	660	669	686	697	704	705
b. Poverty line: $4.20-a-person-a-day (in 2021 purchasing power parity terms)											
East Asia and Pacific	1,400	1,262	716	191	177	155	153	139	130	117	111
Europe and Central Asia	64	111	47	16	17	15	14	12	10	9	9
Latin America and the Caribbean	137	142	88	69	67	70	60	57	53	51	51
MENAAP	178	190	178	189	201	206	207	212	218	223	225
North America	2	3	4	4	2	2	5	5	4	4	4
South Asia	782		884	501	529	482	419	332	252	215	183
Sub-Saharan Africa	385	515	592	699	744	768	782	803	816	825	833
Eastern and Southern Africa		306	357	451	475	489	498	512	523	530	537
Western and Central Africa	156		235	248	269	279	285	291	293	295	296
World	**2,947**	**3,136**	**2,509**	**1,670**	**1,737**	**1,698**	**1,640**	**1,558**	**1,483**	**1,444**	**1,416**
Economies affected by FCS			244	452	559	589	601	622	637	647	655
Economies eligible for IDA assistance		1,883	1,696	919	973	1,000	1,015	1,038	1,053	1,065	1,071
c. Poverty line: $8.30-a-person-a-day (in 2021 purchasing power parity terms)											
East Asia and Pacific	1,556	1,664	1,341	791	809	693	705	659	631	597	571
Europe and Central Asia	177	258	122	78	75	65	63	49	44	40	38
Latin America and the Caribbean	253	276	224	194	197	202	183	174	163	161	159
MENAAP	285	334	383	445	466	467	467	473	480	485	492
North America	4	5	7	6	5	4	7	7	6	6	6
South Asia	982		1,346	1,349	1,375	1,364	1,341	1,315	1,289	1,257	1,219
Sub-Saharan Africa	472	624	793	996	1,036	1,065	1,091	1,119	1,144	1,168	1,191
Eastern and Southern Africa		368	467	599	621	639	654	673	689	704	720
Western and Central Africa	194		327	397	414	426	437	447	455	463	471
World	**3,729**	**4,348**	**4,215**	**3,859**	**3,962**	**3,860**	**3,857**	**3,796**	**3,758**	**3,714**	**3,677**
Economies affected by FCS			354	674	812	842	864	888	909	929	950
Economies eligible for IDA assistance		2,368	2,509	1,475	1,525	1,557	1,594	1,623	1,650	1,673	1,698

(continued)

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TABLE 1C.2

Millions of people living in poverty *(continued)*

Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org.

Note: The definitions of *Economies affected by FCS* and *Economies eligible for IDA assistance* are kept fixed across time, using the World Bank fiscal year 2026 classifications. The table does not report poverty estimates for years on which data coverage is insufficient (that is, data cover less than 50 percent of a region's population); missing observations are shown as empty cells. However, poverty estimates are presented for recent years (2019–25) using nowcasting methods, even if data coverage is insufficient, and these data are shaded in gray (for example, those for MENAAP in 2020–21 and economies affected by FCS in 2019). Estimates presented for all regions and groups of economies for 2025 and 2026 are based on poverty nowcasts and are also shaded in gray. Refer to annex 1A for details about coverage rules and the methodology for projecting or nowcasting poverty. The regional groupings align with the World Bank's current regional classification and differ from those used in previous editions of the report. FCS = fragile and conflict-affected situations; IDA = International Development Association; MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

TABLE 1C.3

Percentage of poor people globally

Region	1990	2000	2010	2019	2020	2021	2022	2023	2024	2025	2026
a. Poverty line: $3.00-a-person-a-day (in 2021 purchasing power parity terms)											
East Asia and Pacific	53	43	28	7	7	7	7	6	6	5	5
Europe and Central Asia	1	3	2	1	1	1	1	1	1	1	1
Latin America and the Caribbean	4	4	3	5	4	5	4	4	3	3	3
MENAAP	6	5	6	10	11	12	12	13	14	15	15
North America	0	0	0	0	0	0	1	0	0	0	0
South Asia	22		30	17	17	14	12	8	5	4	4
Sub-Saharan Africa	14	19	30	60	60	62	65	68	70	71	72
Eastern and Southern Africa		11	19	41	41	42	44	46	48	49	49
Western and Central Africa	6		11	19	19	20	21	22	22	23	23
World	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**
Economies affected by FCS			12	39	44	47	49	52	55	56	57
Economies eligible for IDA assistance		60	68	71	71	74	77	81	85	86	87
b. Poverty line: $4.20-a-person-a-day (in 2021 purchasing power parity terms)											
East Asia and Pacific	48	40	29	11	10	9	9	9	9	8	8
Europe and Central Asia	2	4	2	1	1	1	1	1	1	1	1
Latin America and the Caribbean	5	5	4	4	4	4	4	4	4	4	4
MENAAP	6	6	7	11	12	12	13	14	15	15	16
North America	0	0	0	0	0	0	0	0	0	0	0
South Asia	27		35	30	30	28	26	21	17	15	13

(continued)

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TABLE 1C.3

Percentage of poor people globally *(continued)*

Region	1990	2000	2010	2019	2020	2021	2022	2023	2024	2025	2026
Sub-Saharan Africa	13	16	24	42	43	45	48	52	55	57	59
Eastern and Southern Africa		10	14	27	27	29	30	33	35	37	38
Western and Central Africa	5		9	15	15	16	17	19	20	20	21
World	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**
Economies affected by FCS			10	27	32	35	37	40	43	45	46
Economies eligible for IDA assistance		60	68	55	56	59	62	67	71	74	76
c. Poverty line: $8.30-a-person-a-day (in 2021 purchasing power parity terms)											
East Asia and Pacific	42	38	32	21	20	18	18	17	17	16	16
Europe and Central Asia	5	6	3	2	2	2	2	1	1	1	1
Latin America and the Caribbean	7	6	5	5	5	5	5	5	4	4	4
MENAAP	8	8	9	12	12	12	12	12	13	13	13
North America	0	0	0	0	0	0	0	0	0	0	0
South Asia	26		32	35	35	35	35	35	34	34	33
Sub-Saharan Africa	13	14	19	26	26	28	28	29	30	31	32
Eastern and Southern Africa		8	11	16	16	17	17	18	18	19	20
Western and Central Africa	5		8	10	10	11	11	12	12	12	13
World	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**	**100**
Economies affected by FCS			8	17	20	22	22	23	24	25	26
Economies eligible for IDA assistance		54	60	38	38	40	41	43	44	45	46

Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org.

Note: The definitions of *Economies affected by FCS* and *Economies eligible for IDA assistance* are kept fixed across time, using the World Bank fiscal year 2026 classifications. The table does not report poverty estimates for years on which data coverage is insufficient (that is, data cover less than 50 percent of a region's population); missing observations are shown as empty cells. However, poverty estimates are presented for recent years (2020–25) using nowcasting methods, even if data coverage is insufficient, and these data are shaded in gray (for example, those for MENAAP in 2020–21 and economies affected by FCS in 2019). Estimates presented for all regions and groups of economies for 2025 and 2026 are based on poverty nowcasts and are also shaded in gray. Refer to annex 1A for details about coverage rules and the methodology for projecting or nowcasting poverty. The regional groupings align with the World Bank's current regional classification and differ from those used in previous editions of the report. FCS = fragile and conflict-affected situations; IDA = International Development Association; MENAAP = Middle East, North Africa, Afghanistan, and Pakistan.

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Annex 1D. Measuring the geographic concentration of global poverty

To measure the extent to which global poverty is concentrated in a small number of economies disproportionate to their population, this annex applies the dissimilarity index (Duncan and Duncan 1955), a standard measure of spatial concentration. The index compares the distribution of the extremely poor population across economies with the distribution of the total population. It is computed as follows:

$$D = \frac{1}{2}\sum_i \left| \frac{p_i}{P} - \frac{n_i}{N} \right|, \tag{1D.1}$$

where p_i is the number of the extreme poor in economy i; P is the total population of the extreme poor globally; n_i is the total population of economy i; and N is the total global population. The index ranges from 0 (the poor in a particular economy are distributed exactly in proportion to the population across all economies) to 1 (all poor people in the world are in one economy).

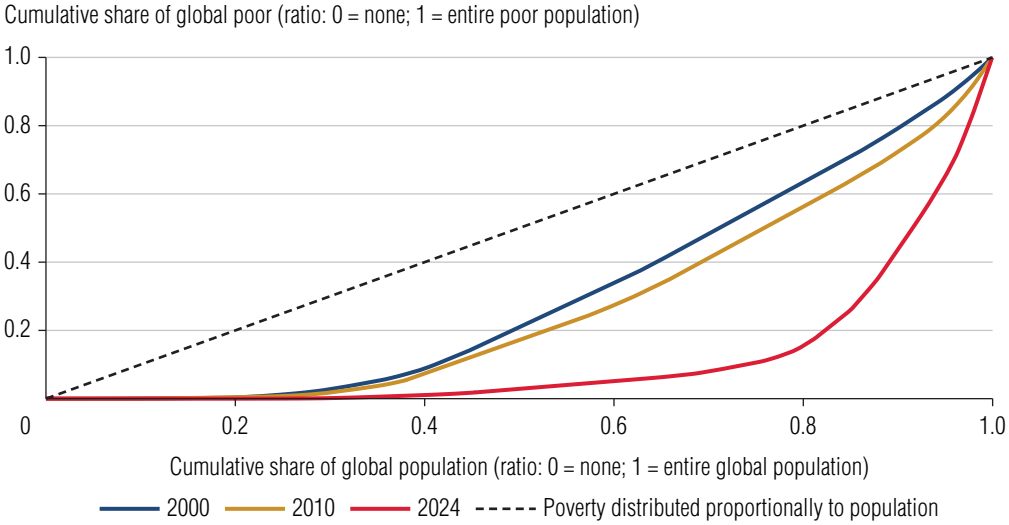
The dissimilarity index measures the share of the global poor population who would need to relocate across economies to equalize the distribution of poverty to reflect the share of a economy's population to the global population. The index rose from 0.31 in 2000 to 0.33 in 2010 and 0.65 in 2024. The geographic concentration of poverty, not explained by population size, thus more than doubled over the quarter century between 2000 and 2024.

Figure 1D.1 illustrates this shift. It ranks countries from lowest to highest according to poverty rates, plotting the cumulative share of the global population against the cumulative share of the global poor population. The farther the curve bows below the 45-degree diagonal, the more concentrated poverty is in fewer economies, independent of the population size of those economies. In 2000, the curve already bowed below the diagonal, but, by 2024, the concentration became extreme: The 2024 curve traces the horizontal axis for much of its length. This reflects the fact that 30 percent of the global population in that year were living in economies with effectively zero extreme poverty, up from 9 percent in 2000. The 2024 curve then rises steeply at the far right. Economies with the highest extreme poverty rates and a population share of 20 percent in the world accounted for roughly 37 percent of the extreme poor in 2000. By 2024, economies with the highest extreme poverty rates and 20 percent of the global population accounted for roughly 85 percent of the extreme poor.

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FIGURE 1D.1

Global poverty has become increasingly concentrated in a small number of economies



Source: World Bank calculations based on data from the Poverty and Inequality Platform (version September 2026), World Bank, https://pip.worldbank.org/home.

Note: Economies are ranked from lowest to highest rate of extreme poverty at the $3.00-a-person-a-day poverty line (in 2021 purchasing power parity terms). The farther a curve is from the diagonal dashed line, the more disproportionate the number of the poor is to the total population of the economy.

Notes

1. Poverty is measured using household consumption or income per capita from household surveys, depending on the type of data that are available for each economy. Refer to annex 1A for details.
2. Figure 1.4 reports regional aggregates drawn from the Poverty and Inequality Platform (PIP). When no survey is available for a country in a particular year, PIP interpolates and extrapolates the existing surveys (refer to annex 1A for further details). PIP uses a method that is common across countries and uses national accounts growth adjusted by a pass-through rate. The World Bank publishes an alternative set of poverty nowcasts through the Macro Poverty Outlooks (MPOs). The MPOs are the preferred estimates for country-specific analyses, since they follow country-specific methodologies. As a result of the distinct projection methods, the nowcasts can differ between PIP and the MPOs. For example, in the case of Nigeria, the MPO uses a Nigeria-specific microsimulation that projects nominal consumption by households' sectoral income sources and applies household-specific inflation based on purchased food, nonfood, and own-produced food. It therefore captures uneven sectoral growth and inflation-driven losses in purchasing power, resulting in a different poverty trajectory.
3. As of the end of fiscal year 2026, the 26 economies classified as low-income are, in Sub-Saharan Africa, Burkina Faso, Burundi, the Central African Republic, Chad, the Democratic Republic of Congo, Eritrea, Ethiopia, The Gambia, Guinea-Bissau, Liberia, Madagascar, Malawi, Mali, Mozambique, Niger, Rwanda, Sierra Leone, the Federal Republic of Somalia, South Sudan, Sudan, Togo, and Uganda; in MENAAP, Afghanistan, the Syrian Arab Republic, and the Republic of Yemen; and the Democratic People's Republic of Korea. Note that 22 of the 26 are in Sub-Saharan Africa.

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4. In Europe and Central Asia, the pronounced growth at the lower percentiles in 2019–25 was broad-based across the region, whereas Central Asian economies also experienced marked growth at upper percentiles.
5. The 9 economies with the most poor (poverty percentages at the $3.00-a-person-a-day line in 2024 in parentheses) are the Democratic Republic of Congo (82 percent), Ethiopia (32 percent), India (2 percent), Mozambique (81 percent), Nigeria (41 percent), Pakistan (22 percent), Tanzania (47 percent), Uganda (53 percent), and the Republic of Yemen (72 percent). The other 11 making up the top 20 are Afghanistan (47 percent), Angola (42 percent), Indonesia (5 percent), Kenya (43 percent), Madagascar (68 percent), Malawi (76 percent), Niger (55 percent), the Philippines (10 percent), the Federal Republic of Somalia (63 percent), Sudan (41 percent), and Zambia (71 percent). The estimates reported in this footnote are the poverty rates that underlie the global and regional aggregates. These have been extrapolated or interpolated to a common year if a survey is unavailable in 2024 (refer to annex 1A).
6. Of the 26 economies classified as low income in fiscal year 2026, only 6 are projected to transition to middle-income status by 2050 (World Bank 2025a).
7. Earlier versions of this report have also included scenarios that modeled reductions in inequality (for instance, refer to World Bank 2024a, figure 1.3). Lakner et al. (2022) model the complementary effects of growth and changes in inequality on poverty.
8. There is a complex bidirectional relationship between poverty and conflict (Fuseini et al 2025). For a more detailed discussion of the topic, refer also to Corral et al. (2020).
9. For more discussion of the evidence on the slow or, sometimes, stalled fertility transition in Sub-Saharan Africa in particular, refer to Büttner et al (2024).
10. Thus, for example, Nigeria was classified as FCS until the 2008 fiscal year and again from 2020 onward, and Ethiopia became classified as FCS in fiscal year 2022.
11. All members of a given household therefore have the same poverty status. Differences in poverty rates across men and women will thus necessarily reflect household composition patterns related to the extent to which women (men) reside in households with no men (women). Research has shown that differences in poverty rates between men and women are sensitive to the life cycle and to household composition patterns, especially among adults ages 25–34 (refer to Muñoz-Boudet et al. 2021). In this report, poverty rates by age and by household composition are reported, but not poverty rates among men and women. This might be misleading given the strong assumption of the equal sharing of resources within households.
12. The analysis captures changes over the last decade. This is too short of a period to pick up population aging effects, although the direction of the observed changes is consistent: The share of children falls, while the share of adults (25+) increases.
13. A Shapley decomposition can be used to break down the total change in the global poverty rate into two components: changes in poverty rates within economies and changes in the distribution of the population across economies and regions. The contributions of the two components sum to the total observed change.
14. The World Bank's Global Subnational Poverty Atlas provides poverty estimates for 1,900 subregions across more than 170 economies based on representative subregions from official household surveys. In many countries, these subregions correspond to the province or state level, that is the first or second government administrative levels. Refer to Global Subnational Poverty Atlas (version April 2026), World Bank, https://datacatalog.worldbank.org/search/dataset/0042041/global-subnational-poverty-atlas-gsap.
15. Refer to SOL (Statistics On-Line), World Bank, https://pip.worldbank.org/sol/sol-landing.

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